Indirect Tax Law Compliance

GST: AN INTRODUCTION

A GST is an indirect, multi-stage, and destination-based tax levied on the supply of goods and services in India. Implemented on July 1, 2017, the Goods and Services Tax (GST) subsumed numerous central and state indirect taxes to create a unified national market.

Key features of India's GST

- **Dual structure**: The GST is levied simultaneously by both the central government (Central GST or CGST) and the state governments (State GST or SGST) on intra-state supplies. For inter-state transactions, the central government levies and collects an Integrated GST (IGST).
- **Destination-based consumption tax**: The tax revenue accrues to the state where the goods or services are consumed, rather than the state where they were produced.
- **Tax on value addition**: GST is levied only on the value added at each stage of the supply chain. Businesses can claim an Input Tax Credit (ITC) for the tax paid on their inputs, effectively eliminating the cascading "tax on tax" effect.
- **Online compliance**: The entire GST process, from registration and return filing to tax payments and refunds, is conducted through an online portal managed by the Goods and Services Tax Network (GSTN).
- **GST Council**: This constitutional body, comprising the Union Finance Minister and state finance ministers, governs all GST-related matters, including tax rates, exemptions, and compliance procedures.

Taxes subsumed under GST

The GST replaced over 17 central and state taxes to streamline the tax structure.

Central Taxes

- Central Excise Duty
- Service Tax
- Additional Duties of Customs (CVD and SAD)
- Various cesses and surcharges

State Taxes

- State Value Added Tax (VAT)
- Central Sales Tax (CST)
- Entertainment Tax
- Luxury Tax
- Taxes on lottery, betting, and gambling
- Entry Tax and Octroi

Components of GST

- **CGST (Central Goods and Services Tax)**: The tax levied by the central government on intra-state sales.
- **SGST (State Goods and Services Tax)**: The tax levied by the state government on intra-state sales.
- **IGST (Integrated Goods and Services Tax)**: The single tax levied by the central government on all inter-state supplies of goods and services.
- **UTGST (Union Territory Goods and Services Tax)**: The tax levied by union territories without a legislature on intra-territory supplies.

Benefits of GST

- **Eliminates cascading effect**: By allowing Input Tax Credit across the supply chain, GST removes the compounding effect of multiple taxes.
- **Unified national market**: The single tax structure and removal of inter-state check posts have led to faster and more efficient movement of goods.
- **Easier compliance**: The simplified, technology-driven tax process reduces the compliance burden for businesses.
- **Higher tax base and revenue**: The transparency of the online system and strict regulations have helped curb tax evasion, formalize the economy, and increase tax revenue for the government.
- **Regulates the unorganized sector**: Strict online compliance and reporting requirements have brought many small and unorganized businesses into the formal economy.

TAXABLE EVENT: SUPPLY

Under India's Goods and Services Tax (GST) regime, the single taxable event that triggers the levy of tax is **"supply" of goods or services**. This unified concept replaced various taxable events under the previous indirect tax system, such as manufacture, sale, and rendering of services.

A transaction qualifies as a "supply" under Section 7 of the CGST Act if it meets specific conditions.

Characteristics of supply

To be considered a supply, a transaction must involve the provision of goods or services for consideration, conducted in the course or furtherance of business, and made by a taxable person. While consideration is generally required, Schedule I lists exceptions treated as supplies even without it, such as permanent transfer of business assets where ITC was availed and supplies between related persons. Personal transactions are typically excluded, except for imported services for consideration.

Activities specifically included and excluded

Schedule II of the GST law clarifies activities treated as supply of goods or services, like the transfer of title or right to use goods, and construction intended for sale before completion.

Schedule III lists activities specifically excluded from the definition of supply, including services by an employee to an employer and the sale of land or completed buildings.

Types of supply

Supply is categorized as **composite** or **mixed**. A composite supply involves naturally bundled goods or services supplied together, taxed at the rate of the principal supply. An example is a flight ticket including meals and insurance, taxed at the air travel rate. A mixed supply consists of combined, non-naturally bundled items sold for a single price, taxed at the highest rate applicable to any item in the bundle, like a gift hamper.

Reverse charge mechanism (RCM)

In certain situations, the recipient, rather than the supplier, is liable to pay GST under the Reverse Charge Mechanism (RCM). This applies to notified goods and services, transactions with unregistered suppliers, and the import of services. The recipient must register for GST and pay the tax to the government, which can generally be claimed as Input Tax Credit if used for business purposes.

CHARGE OF GST

GST is a unified tax on the supply of goods and services, and the "charge of GST" refers to the mechanism by which this tax is levied and collected. The entire framework rests on the concept of 'supply,' which is the taxable event that triggers the GST levy.

The taxable event: Supply

Unlike the previous regime with multiple taxable events (like manufacturing, sale, and service provision), GST has a single taxable event called **"supply"**. The scope of supply is very broad and includes all forms of transactions, such as:

- Sale, transfer, exchange, barter, license, rental, lease, or disposal.
- The transaction must be made for a monetary or non-monetary **consideration** in the **course or furtherance of business**.
- Certain activities, like inter-state stock transfers between branches of the same company (known as "distinct persons"), are treated as supply even without consideration.

Charging mechanisms

There are two main mechanisms for charging and collecting GST:

1. Forward Charge Mechanism (FCM)

This is the standard and most common method for charging GST.

- **Who pays**: The **supplier** of goods or services is liable to collect tax from the recipient and remit it to the government.
- **Process**:
    - The supplier issues a tax invoice, clearly showing the GST charged.
    - The recipient pays the total amount, including GST, to the supplier.

    - The supplier remits the collected GST to the government.
- **Input Tax Credit (ITC)**: The recipient can claim the ITC on the tax paid, provided the goods or services are used for business purposes and the supplier has paid the tax to the government.

2. Reverse Charge Mechanism (RCM)

In certain notified cases, the liability to pay tax is shifted from the supplier to the recipient of the goods or services. The primary purpose is to increase tax compliance in certain unorganized sectors.

- **Who pays**: The **recipient** of the goods or services is liable to pay the GST directly to the government.
- **Key scenarios for RCM**:
    - **Notified goods and services**: The government specifies certain categories of goods and services where RCM applies, such as services from a Goods Transport Agency (GTA) or legal services from an advocate.
    - **Purchases from unregistered dealers**: When a registered business buys from an unregistered supplier, the registered business must pay the GST under RCM.
    - **E-commerce operators**: For certain services, the e-commerce operator is responsible for collecting and paying GST.
- **Process**:
    - The recipient of the supply must issue a **self-invoice** and a payment voucher to fulfill their tax liability.
    - The recipient must pay the GST in **cash** through the electronic cash ledger, as input tax credit cannot be used to pay RCM liability.
    - After paying, the recipient can claim the same amount as ITC in the same or subsequent tax period.

Time of supply

The **"time of supply"** is the point at which the tax liability arises. It is crucial for determining when tax is due and which tax rate applies.

Rules for determining the time of supply vary depending on whether it's for goods or services and whether the forward charge or reverse charge mechanism applies. Under the forward charge mechanism, the time of supply for goods is generally the earliest of the invoice date or the deadline for issuing the invoice. For services under FCM, it's the earliest of the invoice date, the payment date, or the date service was provided if the invoice was delayed.

Under RCM, the recipient pays the tax, and the rules differ. For goods, it's the earliest of the receipt date, payment date, or 31 days from the supplier's invoice. For services, it's the earliest of the payment date or 61 days from the supplier's invoice date.

EXEMPTIONS UNDER GST

Types of GST Exemptions

GST exemptions are categorized based on who is exempt and the nature of the exemption. Here are the types of GST exemptions -

Supplier-Based Exemption

This exemption is granted to specific suppliers, regardless of the nature of their goods or services. It typically applies to entities engaged in public welfare or nonprofit activities.

Example: Services offered by charitable organizations are exempt from GST, irrespective of the type of service they provide.

Supply-Based Exemption

Certain goods and services are exempt from GST due to their essential nature. This type of exemption is based solely on the nature of the supply, without regard to the supplier.

Example: Healthcare, educational services, and public utility services such as water supply are exempt from GST.

Absolute Exemption

This is an unconditional exemption where the supply is fully exempt from GST without any conditions or restrictions.

Example: The transmission or distribution of electricity by utility companies is fully exempt from GST.

Conditional or Partial Exemption

These exemptions are granted with specific conditions or limitations. They may apply fully or partially depending on the fulfillment of certain criteria, such as threshold limits or specific usage.

Example: Hospital room charges are exempt from GST if they do not exceed ₹5,000 per day (excluding ICUs). Similarly, intra-state supplies from unregistered persons are exempt under reverse charge if the total value does not exceed ₹5,000 per day.

List of GST Exemption on Goods

Here is a list of some of the most common goods which are GST exempt items –

Category	*Products*
Animal Products	*Live animals: Asses, cows, sheep, goats, poultry*
	Meat: Fresh and frozen meat from sheep, cows, goats, pigs, horses
	Fish: Fresh or frozen fish

Natural and Agricultural Products	*Natural products: Honey, fresh and pasteurized milk, cheese, eggs*
	Live trees and plants: Bulbs, roots, flowers, foliage
	Vegetables: Tomatoes, potatoes, onions, carrots
	Fruits: Bananas, grapes, apples, oranges
	Dry fruits: Cashew nuts, walnuts, almonds
	Grains: Wheat, rice, oats, barley
	Products of the milling industry: Various types of flour
	Seeds: Flower seeds, oil seeds, cereal husks
Beverages and Spices	*Tea, coffee, and spices: Coffee beans, tea leaves, turmeric, ginger, black pepper*
	Water: Mineral water, tender coconut water, packaged drinking water
Processed and Baked Goods	*Sugar products: Sugar, jaggery*
	Baked goods: Bread, pizza base, puffed rice, pastries
Energy and Industrial Goods	*Fossil fuels: Electrical energy*
	Fertilizers: Goods and organic manure
Health and Personal Care Products	*Drugs and pharmaceuticals: Human blood, contraceptives, vaccines*

	Beauty products: Bindi, kajal, kumkum, herbal cosmetics
Waste and Recycling	*Waste: Sewage sludge, municipal waste, recyclable waste*
Accessories and Printed Items	*Ornaments: Plastic and glass bangles*
	Newsprint: Judicial stamp paper, envelopes, rupee notes
	Printed items: Printed books, newspapers, maps
Textiles and Handicrafts	*Fabrics: Raw silk, silkworm cocoon, khadi, cotton, wool, synthetic fabrics*
	Hand tools: Spade, hammer, gardening tools
	Pottery: Earthen pots, clay lamps

Here is a list of some of the services which enjoy GST exemption –

Types of services	*Examples*
Agricultural services	*Cultivation, supplying farm labor, harvesting, warehouse-related activities, renting or leading agricultural machinery, services provided by a commission agent or the Agricultural Produce Marketing Committee or Board for buying or selling agriculture produce, etc.*
Government services	*Postal service, transportation of people or goods, services by a foreign diplomat in India, services offered by the Reserve Bank of India, services offered to diplomats, etc.*
Transportation services	*Transportation of goods by road, rail, water, etc., payment of toll, transportation of passengers by air, transportation of goods where the cost of transport is less than INR 1500, etc.*

Judicial services	*Services offered by the arbitral tribunal, partnership firm of advocates, senior advocates to an individual or business entity whose aggregate turnover is up to INR 40 lakhs*
Educational services	*Transportation of faculty or students, mid-day meal scheme, examination services, services offered by IIMs, etc.*
Medical services	*Services offered by ambulances, charities, veterinary doctors, medical professionals, etc. does not include hair transplant or cosmetic or plastic surgery.*
Organizational services	*Services offered by exhibition organizers for international business exhibitions, tour operators for foreign tourists, etc.*
Other services	*Services offered by GSTN to the Central or State Government or Union Territories, admission fee payable to theatres, circuses, sports events, etc. which charge a fee up to INR 500*

PLACE OF SUPPLY

What is the Place of Supply in GST?

The place of supply of goods under GST is the place where the goods or services are considered to be supplied. It is an important aspect of the GST framework as it determines the applicability of CGST, IGST, and SGST on any transaction. The rules for the place of supply are different for goods and services and are outlined in detail in the GST law.

For goods, the place where the goods are delivered is considered as the place of supply under GST. For services, the location of the recipient of the service is considered as the place of supply under GST.

Why place of supply is important?

The determination of place of supply or location of supply is essential to ascertain the nature of supply, i.e., whether a supply is interstate or intrastate. These two factors are required to determine whether a supply is subject to CGST and SGST / UTGST in the case of Intrastate supply or subject to IGST in the case of Interstate supply.

Any mistake or error in the tax computation or treatment of transactions can result in incorrect payment of GST tax. Such a mistake needs to be corrected by recomputing the tax. The place of supply is crucial in the determination of the tax amount.

Determination of supply of goods in case of domestic transactions

This deals with the following specific situations.

- Supply involving the movement of goods

- Goods delivered on ‘Bill to’ ‘Ship to’ basis
- Supply not involving the movement of goods
- Goods assembled or installed at the site
- Goods supplied on board a conveyance

Supply involving movement of goods [Section 10(1)(a)]

In this case, the place of supply is the location of the goods at the time when the movement of goods ends for delivery to the recipient. The movement can be undertaken by the supplier or recipient or any other person like transporter, but the place of supply is declared at the time when the goods are taken out for delivery from the supplier.

GST is furthermore categorized based on states and union territories,

Points to note

- This provision does not apply in cases where there is no movement of goods
- This provision does not apply to include the transfer of property and only for the movement of goods.

Example

Karan & Co. of Tamil Nadu sells 20 refrigerators to ABC Limited in Ahmedabad for delivery at their place. The place of supply in this case is Ahmedabad.

Goods delivered on Bill to Ship to basis [Section 10(1) (b)]

These are supplies involving the movement of goods where goods are delivered to the recipient on the instruction of a third party. This section lays down the provisions to determine the place of supply in cases where there is a tri-party arrangement of supply, commonly known as ‘bill to ship to’ transactions. Where goods are delivered by the supplier to the recipient (original buyer) at the instruction of the third person, the place of supply is the principal place of business of the third person and not the actual recipient or the original buyer.

Points to note

- Two supplies occur in this case i.e. supply by the supplier to the third person and by the third person to the recipient.
- This provision deals only with the first set of transactions i.e. supply by the supplier to the third person.

Supply not involving movement of goods [Section (10) (c)]

If the supply does not involve the movement of goods, the place of supply is the location of goods at the time of delivery to the recipient.

Example

A Limited (Mumbai) leases its machine to B Limited (Chennai) for the production of goods. After a period of time, B Limited requested A Limited to sell the machine to it. A agreed and sold to B. In this case, there will be no movement of goods and the same will be sold. Thus, the place of supply will be the location of the machine at the time of its sale i.e. Chennai.

Supply involving installation or assembly of goods [Section 10(1) (d)]

If the supply involves goods that are to be installed or assembled at the site, the place of supply is the place of such installation or assembly.

Example

Rahul (Chennai) buys an Air Conditioner from MKR Limited (Mumbai) which is to be installed in his office located in Kerala. Here the place of supply is Kerala as the installation occurs in Kerala though Rahul resided in Chennai.

Goods supplies on board for conveyance [Section 10(1) (e)]

This means the supply of goods during a journey. When goods are sold/supplied during a journey, it becomes difficult to determine the place of supply - whether it is the location from the journey begun or the destination of the journey. This section states that the place of supply for such supplies like aircraft, trains, motor vehicles is the location where such goods have been on board.

Points to be noted

Place of supply under this case is determined even if the supply has been made by any of the passengers onboard and not by the carrier of the conveyance.

Example

Mr. X (New Delhi) boards the Delhi – Kota train at New Delhi. He sells the goods taken by him at New Delhi, on the train at Jaipur during the journey. The place of supply is the location at which the goods are taken on board i.e. New Delhi and not Jaipur where they are sold.

Place of supply of goods Imported to or Exported from India

Import of goods: All import of goods are to be treated as Inter-state supply and IGST tax is levied in addition to applicable customs duties. If goods are imported, the place of supply of goods is the place where the importer is located.

Export of goods: Exports are treated as inter-state supply and zero-rated supply where the exported goods are relieved of GST levy. In this case, the place of supply is the place where they have been exported i.e. the destination of supply (Outside India)

Place of supply of service within India

This explains the case where the location of the supplier of service and the recipient of service is in India. The place of supply of services differs in the supply of services based on the nature of service availed and the location of supply of such service.

The place of supply of services made to an unregistered person is the location of the person receiving the services.

If supplied to unregistered persons, the place of supply would be the location of such unregistered person if his address is available or the location of the supplier of services if the address is not available.

Place of supply of services outside India

In the case of export of services, the place of supply of such services is the location of the recipient of services. However, if the location of the recipient is not available, the place of supply is the location of the supplier of services.

The place of supply of goods or services plays a major role in determining the amount of tax liability and help you avoid penalties and legal challenges. Knowing these rules can help businesses reduce errors, stay compliant, and improve performance. However, we understand that GST can seem complicated, and filing GSTR manually can be a daunting task. Therefore, Tax2win provides you with GST registration and GST filing services.

TIME OF SUPPLY

The Time of Supply under India's Goods and Services Tax (GST) is the point at which the liability to pay tax is fixed. It specifies the date when a transaction is considered complete for taxation purposes and determines when the supplier must pay GST to the government. The specific rules for determining the time of supply vary depending on whether the transaction involves goods, services, or the reverse charge mechanism.

Key concepts

The Central Goods and Services Tax (CGST) Act of 2017 outlines the different provisions for the Time of Supply:

- **Section 12:** Time of Supply of Goods
- **Section 13:** Time of Supply of Services
- **Section 14:** Time of Supply in case of change in rate of tax

Details on the Time of Supply under GST, covering forward charge for goods and services, the Reverse Charge Mechanism (RCM) for both, and special scenarios, can be found on Razorpay razorpay.com. The rules for goods under forward charge generally consider the earliest of invoice date, due date for the invoice, or payment date, while services consider the earliest of invoice date, payment date, or service provision date if the invoice is delayed. For RCM, the recipient pays tax, with specific rules for goods (earliest of receipt, payment, or 30 days post-invoice) and services (earliest of payment or 60 days post-invoice). Special cases include vouchers, interest/late fees, changes in tax rates, and situations where the time of supply cannot be easily determined.

VALUE OF SUPPLY

The value of supply is the transaction value—the price actually paid or payable for goods or services—provided the supplier and recipient are unrelated and the price is the sole consideration. This value forms the basis for calculating the Goods and Services Tax (GST).

Inclusions and Exclusions in the Value of Supply

Section 15(2) of the CGST Act outlines items included in the value of supply, such as non-GST taxes, duties, and charges, as well as amounts the supplier is liable to pay but are paid by the recipient. Incidental expenses like packing and commission, along with interest or penalties for late payment, and certain subsidies linked to the price (excluding government subsidies) are also included.

Section 15(3) of the CGST Act details when discounts can be excluded. Discounts given before or at the time of supply are excluded if shown on the invoice. Post-supply discounts are deductible if agreed upon before supply, linked to relevant invoices, and the recipient has reversed the Input Tax Credit (ITC) related to the discount.

Valuation Rules for Specific Situations

If the value of supply cannot be determined by the transaction value, specific rules (CGST Rules 27-35) are used. For non-monetary consideration, the open market value is used, or a combination of monetary and equivalent non-monetary value if the open market value isn't available. For supplies between related or distinct persons, the open market value is typically used, but the invoice value can be accepted if the recipient can claim full ITC. If other methods aren't applicable, the value can be based on cost plus a markup (110% of cost), or a residual method consistent with Section 15 principles. A specific rule exists for second-hand goods traders who haven't claimed ITC, where the value is the difference between selling and purchase price.

Significance of Accurate Valuation

Determining the correct value of supply is crucial for accurate GST calculation and payment, ensuring compliance with GST laws, and enabling recipients to correctly claim ITC.

INPUT TAX CREDIT [ITC]

What is Input Tax Credit?

In GST, Input Tax Credit (ITC) can be defined as a type of tax credit that is available to GST-registered entities who have paid taxes on the goods and services purchased by them as inputs for the business. This tax credit can subsequently be deducted from the GST applicable to the final supply made to the end user so that the overall GST liability of the registered GST entity decreases. So, the formula to calculate Net GST liability will look like:

Net GST Liability = Total GST Liability at time of supply – Input Tax Credit

To understand how the input tax credit works better, let’s consider a simple example. Suppose Supplier B purchases raw material from Supplier A and pays Rs. 500 as GST on the purchase. Subsequently, Supplier B uses the raw materials purchased from Supplier A to provide finished goods to Customer C which have total GST amount of Rs. 1000. Now, while Supplier B is required to pay tax authorities Rs. 1000 as GST on the sale, a GST payment of Rs. 500 has already been made as part of the process of purchasing inputs. This Rs. 500 is considered as input tax credit and is deducted from the GST payable at the time of supply to the customer. So, net GST to be paid by Supplier B to tax authorities will be Rs. 500.

Objective of Input Tax Credit Mechanism

As described earlier, the Input Tax Credit mechanism reduces the net GST payable by an GST registered entity at the time of supply to its customer. Thus, the primary objective of the input tax credit mechanism is to reduce the tax burden on a single GST registered entity and reduce the possibility of double taxation. Instead, it ensures that different entities involved in the supply of goods and services pay GST at applicable rates to ensure distribution of the overall GST burden. This reduction in tax burden can also help in improving overall GST tax compliance.

Eligibility Criteria for Availing Input Tax Credit in GST

The key eligibility criteria that needs to be fulfilled before an entity or individual can avail the benefit of the ITC mechanism include the following:

1. The entity seeking GST benefit must be registered under GST

2. The GST amount paid must be shown by the invoice provided by the registered supplier

3. The receipt of goods and/or services must be completed (including last shipment in the case of multiple shipment)

4. The GST registered supplier needs to have submitted the due GST to tax authorities and filed the applicable tax returns

5. If ITC has not already been included cost of capital goods and no depreciation on such tax has been claimed

What is The Maximum Time Limit to Avail Input Tax Credit?

The time limit for availing input tax credit under GST is specified in Section 16(4) of the CGST Act, 2017. The earlier time limit was amended with effect from 1st October 2022. Subsequent to the amendment, the maximum time limit for claiming ITC under GST rules is the earlier of the following:

a) The 30th of November following the end of the applicable financial year or

b) Date of filing annual GST returns using Form GSTR 9

Documents Required for Availing Input Tax Credit

Below are some of the key documents that a GST-registered entity needs to provide in order to avail the benefit of input tax credit:

- Valid invoices issued by suppliers
- Valid ITC entry must be visible in GSTR-2B submitted of buyer/recipient
- Bill of entry
- Valid bill of supply issued by the supplier as per applicable GST invoice rules
- Invoice/Credit Note issued by Input Service Distributor as per GST invoice rules

When is Input Tax Credit Not Allowed?

There are some situations where even after payment of GST, input tax credit can be claimed. A few expenses where ITC is not allowed include:

- Travel expenses of employee during period of leave
- Valid ITC entry must be visible in GSTR-2B submitted of buyer/recipient
- Goods and services utilized for construction of immovable property for personal or business use
- Any goods/services exclusively for personal use
- Standalone restaurants charging 5% GST on food but are not allowed to claim ITC on inputs
- Expenses related to CSR (corporate social responsibility) initiatives
- Purchase of goods and services for business purposes made by an entity registered under the GST composition scheme

The above list is illustrative and there can be many additional instances where claiming input tax credit is not allowed. The complete list items ineligible for ITC can be found in Section 17(5) of the CGST Act, 2017.

REGISTRATION UNDER GST

Registration under the Goods and Services Tax (GST) is a fundamental requirement for businesses and professionals in India to be legally recognized as suppliers of goods or services. The process assigns a unique 15-digit Goods and Services Tax Identification Number (GSTIN) to registered entities, allowing them to collect tax on behalf of the government and claim Input Tax Credit (ITC).

Eligibility for registration

Registration can be mandatory based on turnover or compulsory for specific business types, regardless of turnover.

Turnover-based mandatory registration:

- **Goods suppliers:** Annual turnover exceeding ₹40 lakh. This threshold is ₹20 lakh for special category states.
- **Service providers and mixed suppliers:** Annual turnover exceeding ₹20 lakh. This is ₹10 lakh for special category states.

Compulsory registration (irrespective of turnover):

- Inter-state suppliers of goods and services.
- Casual taxable persons (temporary business in a state where they have no fixed place of business).
- Non-resident taxable persons.
- Persons liable to pay tax under the reverse charge mechanism (RCM).
- E-commerce operators.
- Suppliers providing goods or services through an e-commerce operator.
- Input Service Distributors (ISDs).

- TDS (Tax Deducted at Source) and TCS (Tax Collected at Source) deductors.
- Online Information and Database Access or Retrieval (OIDAR) service providers from outside India to unregistered Indian persons.

Voluntary registration: Businesses with turnover below the threshold can voluntarily register to avail benefits like claiming ITC and expanding into inter-state trade and e-commerce.

Types of registration

Based on the nature of the business, taxpayers can register under different categories:

- **Normal taxpayer**: For regular businesses with no special provisions. This registration is permanent unless cancelled or surrendered.
- **Casual taxable person**: For businesses engaging in occasional transactions in a state where they do not have a fixed place of business. This registration is temporary and valid for up to 90 days, with the possibility of extension.
- **Composition scheme taxpayer**: An optional scheme for small businesses with an annual turnover up to ₹1.5 crore (₹75 lakh in special category states). It allows them to pay tax at a lower, fixed rate with simplified compliance, though it does not permit claiming ITC.
- **Non-resident taxable person**: For those without a fixed place of business or residence in India who occasionally make taxable supplies.

Benefits of GST registration

- **Input Tax Credit (ITC)**: Claim credit for the GST paid on purchases, reducing the final tax liability.
- **Legal recognition**: Gives a business legal status as a supplier of goods or services, enhancing credibility.
- **Competitive advantage**: Registered businesses can sell on e-commerce platforms, engage in inter-state trade, and gain corporate clients, expanding their market.
- **Improved compliance**: The online system simplifies tax filing, payments, and other compliance activities.
- **Seamless business operations**: Eliminates the cascading effect of taxes and simplifies tax procedures across states.

Process of registration

The entire process is online and completed on the official GST portal.

1. **Generate a Temporary Reference Number (TRN)**: Fill out Part A of Form GST REG-01 with basic details like PAN, mobile number, and email. The TRN is sent for verification.
2. **Complete the application**: Using the TRN, fill out Part B of Form GST REG-01 with detailed business information, including details of promoters, bank accounts, and principal place of business.

3. **Upload documents**: Submit required documents such as identity and address proofs, business constitution proof, and bank account details.
4. **Verification**: The application is verified through Aadhaar authentication or by a GST officer. A Digital Signature Certificate (DSC) or Electronic Verification Code (EVC) is used for submission.
5. **Receive GSTIN**: Upon approval, a unique 15-digit GSTIN is issued, along with the Certificate of Registration in Form GST REG-06.

Consequences of non-registration

Failure to register under GST when required is an offense that can lead to significant penalties, typically 10% of the tax due or ₹10,000, whichever is higher.

Cancellation of registration

A registration can be cancelled voluntarily by the taxpayer or suo-moto by the tax authorities in case of non-compliance, such as:

- The business is discontinued or transferred.
- The taxpayer has not filed returns for a continuous period of six months.
- Voluntary registration was taken, but the business did not commence operations within six months.

TAX INVOICE, CREDIT AND DEBIT NOTES

Under India's Goods and Services Tax (GST) regime, the tax invoice, credit note, and debit note are key commercial documents for accurate and compliant financial record-keeping. While a tax invoice records the initial supply, credit and debit notes are used to rectify errors and make adjustments to already issued invoices.

Tax invoice

A tax invoice is issued by a registered supplier when providing taxable goods or services. It is a critical document for both the supplier and the recipient. For the supplier, it serves as proof of supply and is used to calculate their tax liability. For the recipient, it is essential for claiming the Input Tax Credit (ITC).

A tax invoice must include specific details such as the names and GSTINs of both supplier and recipient, a unique invoice number, date of issue, HSN/SAC code, description and value of goods/services, applicable GST rates and amounts, place of supply, and whether GST is payable on a reverse charge basis. For goods, the invoice should be issued on or before removal/delivery, and for services, within 30 days of supply (45 days for banks/NBFCs).

Credit note

A credit note is issued by a supplier to decrease the taxable value and GST amount on an already issued invoice, reducing the supplier's tax liability and requiring the recipient to reverse any claimed ITC. It is used when there's an overcharge, the tax amount is too high, goods are returned, services are deficient, or a post-sale discount is given. Credit notes must be reported in the GST return for the month of issue, no later than September 30th of the following financial year or the date of filing the annual return.

Debit note

A debit note is issued by a supplier to increase the taxable value and GST amount on an existing invoice, thereby increasing the supplier's tax liability. It is used when there's an undercharge, the tax amount is too low, additional goods/services are provided, or there's a post-sale price increase. The supplier reports the debit note in their GSTR-1, allowing the recipient to claim additional ITC.

Key differences between credit and debit notes

Particulars	Credit Note	Debit Note
Issuer	Issued by the supplier.	Issued by the supplier.
Purpose	To reduce taxable value and GST liability.	To increase taxable value and GST liability.
Impact on tax	Decreases supplier's liability and recipient's ITC.	Increases supplier's liability and recipient's ITC.
Timing	Adjusts overcharges, returns, discounts.	Adjusts undercharges, additional supply.
Accounting	Supplier credits customer account.	Supplier debits customer account.

ACCOUNTS AND RECORDS UNDER GST

To comply with the Goods and Services Tax (GST) law, every registered business must maintain accurate and comprehensive accounts and records. These records are essential for claiming input tax credit (ITC), filing returns, and facilitating audits by tax authorities.

Who must maintain accounts and records

The following individuals and entities are required to maintain records under GST:

- *Every person registered under GST, regardless of turnover.*
- *The owner or operator of a warehouse, godown, or any other place used for storing goods.*
- *Every transporter of goods.*

Where to maintain records

Records must be kept at the principal place of business as specified in the registration certificate. Businesses with multiple locations need to keep separate accounts for each at their respective premises. Electronic records are permitted but require proper backup and digital authentication.

Key records to be maintained

Registered individuals must maintain accurate accounts of:

- *Production and stock details, including opening balances, receipts, and supplies.*
- *Inward and outward supplies of goods and services.*
- *Input Tax Credit (ITC) availed.*
- *Output tax payable, collected, and paid.*
- *Advances received and paid.*
- *Copies of relevant documents like invoices, credit notes, and vouchers.*
- *Names and addresses of suppliers and customers.*
- *Addresses of all premises where goods are stored.*

Special record-keeping requirements

Specific businesses have additional requirements:

- *Works contractors must maintain separate accounts for each contract.*
- *Agents need to keep records of authorizations from principals and supplies made on their behalf.*
- *Manufacturers must keep monthly production accounts with details of materials and finished goods.*

Retention period for records

Records must be kept for 72 months from the due date of filing the annual return for the relevant financial year. If involved in litigation, records must be retained for one year after the final disposal of the case or the standard period, whichever is later.

Consequences of non-maintenance

Failure to maintain proper GST records can result in penalties. Tax officers can determine tax liability on unaccounted goods or services, requiring payment with a penalty. Unaccounted goods liable for tax may be confiscated. Penalties can also be imposed for falsifying or failing to maintain records, with a minimum of ₹10,000 or the tax involved, whichever is higher. A general penalty of up to ₹25,000 may apply for violations without a specific penalty.

PAYMENT OF TAXES

To pay taxes under the Goods and Services Tax (GST) regime, registered taxpayers must use the official GST portal, where all transactions are recorded in three electronic ledgers: the Cash Ledger, Credit Ledger, and Liability Ledger. Payment can be made by offsetting Input Tax Credit (ITC) or by using funds deposited into the Cash Ledger.

Electronic ledgers

The GST payment process is managed through a digital system of online ledgers.

- ***Electronic Liability Ledger:*** *This ledger reflects a taxpayer's total tax liability, including tax, interest, late fees, and penalties. Once a return is filed, the self-assessed tax payable is debited from this ledger.*
- ***Electronic Credit Ledger:*** *This ledger contains the Input Tax Credit (ITC) balance available to a taxpayer. ITC is the tax already paid on inward supplies (purchases). This credit can be used to pay off output tax liability but cannot be used for paying interest or penalties.*
    - ***Utilization rules:*** *ITC must be used in a specific order. IGST credit must be fully exhausted first, then CGST, and finally SGST/UTGST. CGST and SGST credit cannot be cross-utilized.*
- ***Electronic Cash Ledger:*** *This ledger acts as a virtual wallet where taxpayers deposit money for GST dues. It can be used to pay any GST liability, including tax, interest, and penalties, after exhausting all available ITC.*

The payment process

The payment process for GST is largely digital and is initiated by generating a challan (Form GST PMT-06) on the GST portal.

1. ***Liability assessment:*** *The taxpayer first assesses their total tax liability based on their monthly or quarterly return filing, such as GSTR-3B.*
2. ***Credit utilization:*** *The available ITC in the Electronic Credit Ledger is automatically adjusted against the output tax liability according to the set-off rules.*
3. ***Challan generation:*** *If any tax liability remains, the taxpayer must generate a challan (PMT-06) on the GST portal to deposit the remaining amount into the Electronic Cash Ledger.*
4. ***Payment and reconciliation:*** *The taxpayer can make the payment online (via net banking, credit/debit card, NEFT, or RTGS) or offline (cash, cheque, or DD for amounts up to ₹10,000). A Challan Identification Number (CIN) is generated upon successful payment.*
5. ***Payment completion:*** *Once the payment is confirmed, the Electronic Cash Ledger is updated. The taxpayer can then file their return and set off the tax liability using the balance in their cash ledger.*

TDS and TCS under GST

GST also includes provisions for Tax Deducted at Source (TDS) and Tax Collected at Source (TCS) in specific situations.

- ***TDS:*** *Certain government entities must deduct 2% TDS on payments exceeding ₹2.5 lakhs made to suppliers under a contract. The deducted amount is credited to the supplier's Electronic Cash Ledger.*
- ***TCS:*** *E-commerce operators are required to collect 1% TCS on the net taxable supplies made through their platform. This amount is also reflected in the supplier's Electronic Cash Ledger.*

Due dates for payment

The frequency and due dates for GST payment depend on the type of taxpayer.

- ***Regular taxpayers:*** *Payment is due by the 20th of the month following the tax period.*
- ***Quarterly filers under QRMP scheme:*** *Tax for the first two months of a quarter must be paid by the 25th of the following month via Form GST PMT-06. The remaining liability is paid by the 22nd or 24th of the month following the quarter when filing GSTR-3B.*
- ***Composition taxpayers:*** *Payment is due quarterly using Form CMP-08 by the 18th of the month after the end of the quarter.*

Penalties for non-payment

Failure to pay GST on time attracts interest and penalties.

- ***Interest on delayed payment:*** *An interest of 18% per annum is levied on the outstanding tax liability.*
- ***Interest on wrongly availed ITC:*** *A higher interest rate of 24% per annum is applicable if a taxpayer wrongly claims and utilizes Input Tax Credit.*
- ***Invalid returns:*** *If a taxpayer files a return without paying the self-assessed tax in full, the return is considered invalid. Subsequent returns cannot be filed until the dues are cleared.*

RETURNS UNDER GST

Goods and Services Tax (GST) returns are statements that all registered businesses must file with the tax authorities to report their sales, purchases, and tax liability. This process, which is done online through the GST portal, ensures compliance and allows for the reconciliation of tax credits.

Mandatory filing

All entities registered under the GST Act must file returns, including:

- Regular businesses
- Composition scheme dealers
- E-commerce operators
- Entities that deduct Tax Deducted at Source (TDS)
- Input service distributors (ISDs)

Filing a return is mandatory even if no transactions occurred during a tax period. In this case, a 'Nil' return must be filed to avoid penalties.

Core GST returns for regular taxpayers

Regular taxpayers typically use GSTR-1 for reporting sales and GSTR-3B as a summary return, filed either monthly or quarterly based on turnover. GSTR-1 declares outward supplies, including invoices, while GSTR-3B summarizes outward supplies, input tax credit, and tax paid. Businesses with over ₹5 crore annual turnover file these monthly, while those up to ₹5 crore can opt for quarterly filing under the QRMP scheme.

Annual and other returns

Various other returns are required for specific situations and taxpayer categories:

- GSTR-9 (Annual Return): A yearly summary for regular taxpayers, mandatory if turnover exceeds ₹2 crore.
- GSTR-9C (Reconciliation Statement): For taxpayers with turnover over ₹5 crore, reconciling GSTR-9 with audited financial statements.
- CMP-08 and GSTR-4: Filed by composition dealers for quarterly tax payment and annual return respectively.
- GSTR-10 (Final Return): Filed when GST registration is cancelled.
- GSTR-7 (TDS Return): For entities deducting TDS.
- GSTR-8 (TCS Return): For e-commerce operators collecting TCS.

Penalties for non-compliance

Failing to file GST returns on time can result in penalties, including late fees and interest. Late fees for nil returns are ₹20 per day, capped at ₹500, while other returns incur ₹50 per day, subject to caps. An 18% annual interest is charged on outstanding tax. Non-compliance can also lead to the inability to file subsequent returns and potentially the cancellation of GST registration.

Simplified filing process

GST returns are filed electronically via the official GST portal. The process involves logging in, accessing the returns dashboard, entering transaction details, submitting with a DSC or EVC, paying any tax, and receiving an acknowledgement.

REFUNDS

A GST refund is the process by which a taxpayer can claim an excess amount of Goods and Services Tax (GST) that has been paid. This mechanism is designed to avoid blocked working capital for businesses, especially exporters, and is processed entirely online via the GST portal.

Situations that lead to a refund claim

Refunds can arise in numerous scenarios, including:

- **Exports (zero-rated supplies):** The refund can be claimed for either the Integrated Goods and Services Tax (IGST) paid on exported goods and services or the accumulated Input Tax Credit (ITC) if the export was made under a Letter of Undertaking (LUT) or bond.
- **Inverted duty structure:** This occurs when the tax rate on inputs is higher than the tax rate on output supplies, leading to an accumulation of unutilized ITC.
- **Supplies to Special Economic Zones (SEZs):** Supplies to SEZ units and developers are considered zero-rated, making the supplier eligible for a refund of the tax paid.
- **Excess balance in electronic cash ledger:** A refund can be claimed for any excess cash deposited by the taxpayer.

- **Excess or mistaken tax payment:** This includes situations where tax was paid erroneously, such as paying IGST instead of CGST and SGST, or where a final assessment proves an excess amount was paid.
- **Deemed exports:** For supplies of goods notified as "deemed exports," the recipient or the supplier (with a declaration from the recipient) can claim a refund.
- **International tourists:** An international tourist purchasing goods in India can claim a refund of the IGST paid when they take the goods out of the country.
- **Supplies to UN bodies and embassies:** UN bodies, embassies, and other specified organizations can claim a refund of taxes paid on their inward supplies.

Time limit for claiming a refund

The application for a refund (Form GST RFD-01) must be filed within two years from the "relevant date". This date varies depending on the reason for the refund:

- **Excess tax payment:** The date of payment of the tax.
- **Exports of goods:** The date of dispatch, loading, or when the goods pass the frontier.
- **Exports of services:** The date of receipt of payment in convertible foreign exchange.
- **Accumulated ITC:** The last day of the financial year to which the credit belongs.
- **Order of court/tribunal:** The date of the communication of the order.

Refund procedure

The GST refund process is fully online and follows a standard procedure:

1. **File application:** The taxpayer files the refund application electronically in Form GST RFD-01 on the GST portal.
2. **Acknowledgment and processing:** If the application is complete, an acknowledgment in Form GST RFD-02 is issued within 15 days. If there are deficiencies, a deficiency memo (Form RFD-03) is issued, and a fresh application must be filed.
3. **Provisional refund:** For zero-rated supplies, a provisional refund of 90% of the claim may be granted within seven days.
4. **Final sanction:** The proper officer must process the claim and issue a sanction or rejection order (Form RFD-06) within 60 days of receiving the complete application.
5. **Direct credit:** The sanctioned refund amount is credited directly to the applicant's bank account.

The doctrine of "unjust enrichment"

A key principle governing GST refunds is the "unjust enrichment" doctrine. The law presumes that the incidence of indirect taxes is passed on to the final consumer. Therefore, to receive a refund, the applicant must prove that they have not passed on the tax burden to another person.

- **Test:** For claims up to ₹2 lakh, a self-declaration is sufficient. For larger claims, a certificate from a Chartered Accountant or Cost Accountant is required.

- **Exemptions:** The unjust enrichment test does not apply to refunds related to accumulated ITC, exports, or excess tax paid due to certain mistakes. If the test fails, the refund is credited to the Consumer Welfare Fund.

Withholding of refunds

In certain circumstances, a refund may be withheld by the tax authorities:

- **Pending proceedings:** If an appeal or other legal proceeding is pending, the commissioner can withhold the refund.
- **Fraud or malfeasance:** A refund can be withheld if the commissioner believed it would negatively impact revenue due to fraud.
- **Failure to file returns:** If the taxpayer has not filed returns or has unpaid tax, the refund may be withheld until dues are cleared.
- **Interest on delayed refunds:** If a refund is not issued within 60 days, the taxpayer is entitled to interest. If a withheld refund is later released, interest is also payable.

JOB WORK

Under GST, "job work" refers to any treatment or process undertaken by a person (the "job worker") on goods that belong to another registered person (the "principal"). This provision allows manufacturers to outsource part of their production process without the transaction being treated as a supply of goods, and therefore, without attracting GST on the movement of the goods themselves. The ownership of the goods remains with the principal.

Key provisions for the principal

- **Input Tax Credit (ITC):** The principal can claim ITC on inputs and capital goods sent to the job worker. This credit can be availed even if the goods are sent directly from the supplier to the job worker without first being brought to the principal's premises.
- **Documentation:** Goods sent for job work must be accompanied by a delivery challan issued by the principal. The challan must include details such as the parties' names and GSTINs, HSN code, quantity, and a description of the goods.
- **Time limit for return:** The goods must be returned to the principal's place of business or supplied from the job worker's premises within a specific timeframe:
    - **Inputs:** Within one year of being sent out.
    - **Capital Goods:** Within three years of being sent out.
    - This time limit does not apply to moulds, dies, jigs, fixtures, or tools.
- **Consequences of non-return:** If the goods are not returned within the specified period, the movement is treated as a "deemed supply" from the date the goods were originally sent out. The principal becomes liable to pay tax, along with interest, on the value of those goods.
- **Direct supply from job worker's premises:** After processing, the principal can directly supply the goods to a customer from the job worker's location. If the job worker is

unregistered, the principal must declare the job worker's location as an "additional place of business".

- **Responsibility for goods:** The accountability for the goods sent for job work, including tax payment, lies with the principal.
- **Waste and scrap:** The principal is responsible for clearing any waste and scrap generated at the job worker's premises, especially if the job worker is unregistered. The principal must pay the applicable tax on such clearance.

Key provisions for the job worker

- **Taxability of services:** The process undertaken by the job worker is treated as a supply of services under Schedule II of the CGST Act. The job worker must charge and pay GST on their job work charges (the service fee).
- **Registration:** A job worker is required to register under GST if their aggregate turnover exceeds the prescribed threshold limit (e.g., ₹20 lakh). An exemption for inter-state supply is available, but not for specific high-value goods like jewellery.
- **Using own materials:** A job worker can use their own materials in addition to those provided by the principal. This is considered job work, especially if the materials provided by the job worker are minor additions.
- **Waste and scrap:** A registered job worker can directly clear any waste and scrap from their premises on payment of tax.

Reporting under GST

The principal must file Form **GST ITC-04**, a quarterly or half-yearly statement detailing all goods sent to and received from job workers. The filing frequency depends on the principal's annual aggregate turnover.

ELECTRONIC COMMERCE

This note provides an overview of the electronic commerce (e-commerce) framework under India's Goods and Services Tax (GST) regime, with a focus on compliance requirements for e-commerce operators and sellers.

Under Section 2(44) of the CGST Act, 2017, e-commerce involves supplying goods or services over a digital network. An Electronic Commerce Operator (ECO) manages a digital platform for e-commerce. ECOs and most suppliers of goods selling through an ECO need GST registration regardless of turnover. However, service suppliers through an ECO may be exempt if their turnover is below the threshold and they aren't making inter-state supplies. For certain notified services, the ECO is liable for GST, not the supplier.

ECOs must collect Tax Collection at Source (TCS) at specified rates on the net value of taxable supplies made by third-party sellers. TCS is deposited within 10 days and credited to the supplier's electronic cash ledger. For notified services like passenger transport or accommodation, the tax liability is on the ECO.

ECOs collecting TCS file GSTR-8 monthly and an annual statement (GSTR-9B), while suppliers file regular returns and can claim TCS credit. GST is a destination-based tax, with the place of supply determining if it's intra-state or inter-state. The buyer's delivery address is usually the place of supply for goods. The GST portal matches details reported by ECOs and suppliers, with discrepancies requiring reconciliation.

ASSESSMENT & AUDIT

Assessment and audit under Goods and Services Tax (GST) are core mechanisms to ensure compliance and verify the accuracy of tax liabilities. While assessment involves a range of procedures to determine the tax due, audits are a detailed examination of a taxpayer's records by the tax authorities.

Assessment under GST

Assessment is the process of determining a taxpayer's GST liability. The law provides for several types of assessments to address different situations, from self-declaration to official review.

1. Self-Assessment (Section 59)

- This is the standard procedure where every registered person assesses their own tax liability for a tax period and files a return, such as GSTR-3B.
- It is the most common form of assessment and is based on voluntary compliance.

2. Provisional Assessment (Section 60)

- A taxpayer can request this assessment if they are unable to determine the value of goods or services or the applicable tax rate.
- The proper officer allows payment on a provisional basis, and the taxpayer must furnish a bond with security.
- The provisional assessment must be finalized within six months of the provisional order.

3. Scrutiny Assessment (Section 61)

- The proper officer may scrutinize a return and related particulars to verify its correctness.
- If any discrepancies are found, the officer issues a notice to the taxpayer, who must provide an explanation.
- If the explanation is not satisfactory, further action, including audit or investigation, may be initiated.

4. Best Judgment Assessment (Sections 62 and 63)

- **For non-filers (Section 62):** If a registered person fails to file a return despite being served with a notice, the proper officer can assess the tax liability based on the material available.
- **For unregistered persons (Section 63):** This applies to a taxable person who fails to obtain GST registration when they are liable to do so. The officer can assess their tax liability to the best of their judgment.

5. Summary Assessment (Section 64)

- This can be initiated in special cases where the proper officer has evidence that a taxpayer has a liability to pay tax and believes a delay could harm government revenue.
- It requires prior permission from the Joint or Additional Commissioner.

Audit under GST

A GST audit is a process where the tax authorities examine a taxpayer's records to verify the accuracy of their tax declarations, payments, refunds, and input tax credit claims.

1. Audit by Tax Authorities (Section 65)

- The Commissioner or any authorized officer can conduct an audit of a registered person.
- The audit can be performed at the taxpayer's business premises or the tax office.
- A notice (FORM GST ADT-01) must be given at least 15 working days before the audit begins.
- The audit must be completed within three months from its commencement, with a possible extension of six months.
- Findings are communicated to the taxpayer in FORM GST ADT-02.

2. Special Audit (Section 66)

- This is directed by an officer (not below the rank of Assistant Commissioner) during scrutiny, inquiry, or investigation.
- It is ordered when the case is complex and the officer believes the value declared is incorrect or the input tax credit availed is not within normal limits.
- The audit is conducted by a Chartered Accountant or a Cost Accountant nominated by the Commissioner.
- The auditor submits a report within 90 days, which can be extended.
- The expenses of the audit are borne by the government.

3. Annual Audit by CA/CMA (Section 35(5) - Removed)

- Previously, taxpayers with an aggregate turnover above ₹2 crore were required to have their accounts audited by a CA or Cost Accountant.
- This statutory audit requirement was removed effective August 1, 2021.
- It has been replaced by a self-certified reconciliation statement (FORM GSTR-9C) for taxpayers with an annual turnover exceeding ₹5 crore.

INSPECTION, SEARCH & SEIZURE, ARREST

Inspection, search, seizure, and arrest are extraordinary powers under the Goods and Services Tax (GST) law used to deter tax evasion and protect the government's revenue. These actions are used in exceptional circumstances and must be executed in accordance with legal procedures and safeguards.

Inspection

Inspection is a "softer" power that allows tax authorities to access a place of business without an invasive search.

Authorization

An inspection can be carried out only upon a written authorization issued by an officer of or above the rank of Joint Commissioner. The authorizing officer must have "reason to believe" that a taxpayer has engaged in tax-evading activities.

Grounds for inspection

An inspection can be authorized if a taxable person is believed to have:

- Suppressed transactions related to the supply of goods or services or the stock of goods on hand.
- Claimed excess input tax credit.
- Contravened any GST provisions to evade tax.

The inspection can also be carried out on transporters, warehouse owners, or godown operators who are suspected of keeping goods that have escaped tax payment.

Inspection in transit

An officer can stop any conveyance carrying a consignment valued at over ₹50,000 for verification of documents. If any violation is found, the goods and conveyance can be detained or seized.

Search and seizure

Search and seizure are more intrusive powers used when there is a strong belief that goods or documents relevant to tax proceedings are concealed.

Authorization

A search and seizure operation requires a written authorization, or a search warrant, issued by an officer of or above the rank of Joint Commissioner.

Execution of search

- **Procedure:** A search must be conducted in the presence of at least two independent witnesses from the locality, in accordance with the provisions of the Code of Criminal Procedure, 1973.
- **Officer's powers:** An authorized officer can break open locks, doors, or containers if access is denied. A "Panchnama" detailing the proceedings must be prepared on the spot and signed by the witnesses and the person in charge of the premises.
- **Taxpayer's rights:** The taxpayer has the right to inspect and make copies of seized documents, unless doing so would prejudice the investigation. The officer's identity must be disclosed before the search begins.

Seizure

- **When:** Seizure implies taking physical possession of goods, documents, or things believed to be relevant to legal proceedings and liable for confiscation.

- **Prohibition order:** If physical seizure is not practicable, the officer can issue an order of prohibition in Form GST INS-03, forbidding the owner from removing or dealing with the goods.
- **Release of goods:** Seized goods can be released provisionally upon the execution of a bond and the furnishing of a security deposit. If no notice is issued within six months (extendable for another six months), the seized goods must be returned.

Arrest

Arrest is a stringent measure used against serious offenders to prevent them from absconding or tampering with evidence.

Authorization

The power to arrest is vested with the Commissioner, who may authorize an officer to arrest a person if there is "reasons to believe" they have committed specified offenses under Section 132 of the CGST Act.

Grounds for arrest

An arrest is warranted for certain offenses, particularly when the amount of tax evasion, fraudulent input tax credit, or wrong refund exceeds a specified monetary threshold. For offenses involving a tax amount of over ₹5 crore, the offense is "cognizable and non-bailable".

Safeguards for arrested person

- **Immediate information:** The arrested person must be informed of the grounds for their arrest in writing.
- **Production before magistrate:** The arrested person must be produced before a magistrate within 24 hours.
- **Bail:** For "non-cognizable and bailable" offenses, a Deputy or Assistant Commissioner can grant bail. For more severe offenses, bail must be sought from a judicial magistrate.
- **Constitutional rights:** The Supreme Court of India has affirmed that fundamental rights, including the right to legal counsel, apply to GST arrests.

Judicial scrutiny

The Supreme Court has clarified that arrests should not be made arbitrarily or for minor offenses. The power must be exercised with caution and not on mere suspicion. Taxpayers can seek anticipatory bail if they have a reasonable apprehension of arrest.

DEMAND & RECOVERY

Demand and recovery under Goods and Services Tax (GST) refers to the process by which tax authorities initiate proceedings to recover unpaid, short-paid, or erroneously refunded taxes from taxpayers. The procedures, outlined in Chapter XV of the Central Goods and Services Tax (CGST) Act, 2017, and related rules, deal with cases ranging from genuine errors to deliberate fraud.

Demand determination under GST

The process begins when a proper officer identifies discrepancies through assessment, audit, or scrutiny of a taxpayer's records and returns. The demand is determined based on the nature of the offense:

Demand in non-fraudulent cases (Section 73):

- **Applicable for:** Unpaid or short-paid tax, erroneous refunds, or incorrect use of input tax credit (ITC) without any intention to evade tax.
- **Time limit for notice:** Must be served at least three months before the expiry of three years from the annual return's due date for the relevant financial year.
- **Consequences and penalties:**
  - **Voluntary payment:** If the taxpayer pays the tax and interest before the notice is issued, no notice is served. If payment is made within 30 days of receiving the notice, no penalty is imposed.
  - **After 30 days:** The proper officer issues an order with a penalty of 10% of the tax due or ₹10,000, whichever is higher.

Demand in fraudulent cases (Section 74):

- **Applicable for:** Cases involving fraud, wilful misstatement, or suppression of facts to evade tax.
- **Time limit for notice:** Must be served at least six months before the expiry of five years from the annual return's due date for the relevant financial year.
- **Consequences and penalties:**
  - **Voluntary payment:** If paid before the notice, the penalty is 15% of the tax.
  - **Within 30 days of notice:** The penalty is 25% of the tax.
  - **Within 30 days of the order:** The penalty is 50% of the tax.
  - **Maximum penalty:** The penalty can go up to 100% of the tax owed.

The demand process

1. **Show Cause Notice (SCN):** The tax officer issues a summary of the SCN in Form GST DRC-01, detailing the alleged dues. The taxpayer is given an opportunity to respond.
2. **Reply by taxpayer:** The taxpayer can respond to the SCN in Form GST DRC-06, presenting their defence and supporting documents. Alternatively, they can voluntarily pay the tax, interest, and applicable penalty via Form GST DRC-03.
3. **Order of Adjudication:** If the taxpayer's reply is not satisfactory or no reply is received, the tax officer passes a formal order determining the final tax liability, with a summary in Form GST DRC-07.

Recovery proceedings

If the taxpayer fails to pay the amount specified in the order within three months, the tax authorities can initiate recovery proceedings under Section 79 of the CGST Act. The Commissioner can, however, require an earlier payment in the interest of revenue.

Key recovery mechanisms include:

- **Deduction from refunds:** Recovering the outstanding amount from any money, such as a refund, owed to the taxpayer by the department.
- **Recovery from third parties:** Issuing a notice (Form GST DRC-13) to a third party (e.g., a debtor or bank) that holds money belonging to the defaulter, directing them to pay the amount to the government.
- **Attachment and sale of property:** Attaching and selling a defaulter's movable or immovable property, including bank accounts, to recover the dues.
- **Arrears of land revenue:** Sending a certificate (Form GST DRC-18) to the district collector to recover the dues as if they were arrears of land revenue.
- **Payment in instalments:** A taxpayer can apply to the GST Commissioner (Form GST DRC-20) to pay the dues in monthly instalments, not exceeding 24. This facility is granted at the discretion of the Commissioner.

Special provisions

- **Tax as first charge on property:** Any amount of tax, interest, and penalty due under GST is the first charge on the property of the defaulter, overriding other laws, except the Insolvency and Bankruptcy Code (IBC).
- **Void transfers:** Any transfer of property made with the intention of defrauding the government is considered void.
- **Provisional attachment:** The GST Commissioner can provisionally attach a taxpayer's property to protect government revenue if a tax demand is anticipated.

REVERSE CHARGE MECHANISM

The Reverse Charge Mechanism (RCM) under GST shifts the responsibility for paying tax from the supplier to the recipient of goods or services. This mechanism ensures tax compliance, particularly in sectors where suppliers may be unorganized or difficult to monitor.

When RCM is applicable

RCM applies in several situations, based on the nature of the supply or the status of the supplier.

1. Supply of notified goods and services (Section 9(3) of CGST Act)
The Central Board of Indirect Taxes and Customs (CBIC) notifies certain goods and services on which tax is payable under RCM, regardless of whether the supplier is registered.

- **Notified goods** include:
    - Cashew nuts (not shelled or peeled) from an agriculturist.
    - Bidi wrapper leaves from an agriculturist.
    - Tobacco leaves from an agriculturist.
    - Raw cotton from an agriculturist.

    - Silk yarn from a manufacturer.
- **Notified services** include:
    - **Legal services** supplied by an individual advocate or firm to any business entity.
    - **Services by a Goods Transport Agency (GTA)** to specified recipients, such as factories, companies, and registered persons.
    - **Services by a director** to a company or body corporate.
    - **Sponsorship services** provided to a body corporate or partnership firm.
    - **Services supplied by government** or local authorities to a business entity (with some exceptions).
    - **Security services** (supply of security personnel) provided by a person other than a body corporate to a registered person.
    - **Renting of residential property** to a registered person for business purposes.

2. Supplies from an unregistered supplier to a registered person (Section 9(4) of CGST Act) A registered person who receives certain specified goods or services from an unregistered person must pay GST under RCM. This provision was initially broad but is now primarily applicable to the real estate and construction sectors.

3. Supplies made through an e-commerce operator (Section 9(5) of CGST Act) For specified services provided through an Electronic Commerce Operator (ECO), the operator is responsible for paying GST.

- **Examples:** Transportation of passengers via radio-taxis (e.g., Ola, Uber), accommodation services in guesthouses, and housekeeping services (e.g., plumbing).

4. Import of services

When a business in India receives services from a supplier located outside India, the Indian recipient is liable to pay IGST under RCM.

Compliance requirements

- **Compulsory registration:** Any person liable to pay tax under RCM must register under GST, regardless of their aggregate turnover. The normal turnover-based exemption limits do not apply.
- **Self-invoicing:** When a registered person receives a supply from an unregistered person that is subject to RCM, they must issue a "self-invoice". A payment voucher must also be issued at the time of payment.
- **Cash payment for tax liability:** The tax payable under RCM must be paid in cash by debiting the electronic cash ledger. It cannot be set off against the Input Tax Credit (ITC) available.
- **Input Tax Credit (ITC):** The recipient who pays GST under RCM is eligible to claim that tax as an ITC, provided the goods or services are used for business purposes. The ITC can be claimed in the same month that the RCM tax is paid.

- **Reporting:** RCM transactions are reported by the recipient in their GSTR-3B return.

Key differences from the normal mechanism

Feature	Normal Charge Mechanism (Forward Charge)	Reverse Charge Mechanism (RCM)
Tax Liability	The supplier is responsible for collecting and paying GST.	The recipient is responsible for paying GST directly to the government.
Cash Flow	The supplier pays the tax to the government after receiving it from the customer.	The recipient pays the tax upfront in cash, potentially affecting working capital.
ITC Utilization	A supplier can use their ITC to pay their output tax liability.	A recipient cannot use ITC to pay the RCM tax; it must be paid in cash.
Invoicing	The supplier issues a tax invoice to the recipient.	The recipient issues a self-invoice if the supplier is unregistered.

Exemptions from RCM

RCM is not applicable in the following situations:

- When a supply is already exempt, nil-rated, or non-taxable under GST law.
- For certain specified services provided by the Department of Posts, like speed post or life insurance, when provided to non-government entities.
- For certain services supplied by the government or local authority, such as renting immovable property or passenger transport.

OFFENCES & PENALTIES

Penalties and offenses under the Goods and Services Tax (GST) are a set of provisions within the Central Goods and Services Tax (CGST) Act, 2017, designed to encourage compliance and deter tax evasion. The rules are primarily laid out in Sections 122 through 128 of the CGST Act.

Key GST offenses

The CGST Act specifies over 20 distinct offenses that can lead to penalties. These can be categorized as follows:

- **Registration and documentation failures:**
    - Failing to register for GST when legally required.
    - Providing false information during or after GST registration.
    - Failing to issue an invoice for a supply or issuing an incorrect invoice.

    - Issuing an invoice without any actual supply of goods or services.
    - Failing to maintain the required books of accounts and documents.
- **Tax evasion and ITC fraud:**
    - Collecting GST from customers but failing to deposit it with the government for over three months.
    - Claiming or using Input Tax Credit (ITC) without the actual receipt of goods or services.
    - Fraudulently claiming a refund of GST.
    - Intentionally suppressing sales to evade tax.
    - Falsifying financial records or filing fake returns to evade tax.
- **Logistics and compliance failures:**
    - Transporting taxable goods without proper documentation, such as an e-way bill.
    - Obstructing a tax officer during an audit, inspection, or investigation.
    - Destroying or tampering with material evidence.
    - Using another person's GSTIN to issue an invoice.

Penalties for specific offenses (Section 122)

Penalties vary depending on the intent behind the offense.

With fraudulent intent (Section 122(2)(b))

For cases involving fraud, wilful misstatement, or deliberate suppression of facts, the penalty is the higher of the following:

- ₹10,000, or
- The tax amount that was evaded, short-paid, or the ITC that was fraudulently availed.

Without fraudulent intent (Section 122(2)(a))

For offenses where there is no intention of fraud or tax evasion (e.g., due to a clerical error), the penalty is the higher of the following:

- ₹10,000, or
- 10% of the tax amount that was not paid, short-paid, or erroneously refunded.

Penalties for other persons (Section 122(3))

Any person who aids, abets, or deals with confiscated goods and has reason to believe they are in contravention of GST law is liable for a penalty of up to ₹25,000.

General penalty (Section 125)

A general penalty of up to ₹25,000 is imposed for any contravention of the GST Act or rules for which no specific penalty is explicitly prescribed. This applies to both CGST and SGST, meaning the total general penalty could be up to ₹50,000.

Decriminalization of certain offenses

Amendments introduced by the Finance Act, 2023, and effective from October 1, 2023, have decriminalized certain offenses:

- **Removed from prosecution:** The offenses of obstructing an officer, tampering with material evidence, and failing to provide information have been decriminalized.
- **Penalty still applicable:** Though decriminalized, these actions can still attract a penalty of up to ₹25,000.

Prosecution and compounding of offenses

For serious offenses, particularly those involving tax evasion, the GST law includes provisions for prosecution, which can lead to imprisonment.

- **Penalties and jail time:** The duration of imprisonment is based on the amount of tax involved in the fraud, with up to five years of imprisonment for evasion exceeding ₹5 crore.
- **Compounding of offenses:** Under Section 138 of the CGST Act, certain offenses can be compounded (settled) to avoid prosecution and legal proceedings. A person must apply to the Commissioner in the prescribed form and pay a compounding amount.
- **Compounding amount:** The minimum compounding fee has been reduced to 25% of the tax involved, and the maximum has been reduced to 100% of the tax involved (from the earlier 50-150% range).
- **Exclusions:** Compounding is not available for all offenses, especially repeat offenders or those involving fake invoicing.

Minor breaches

GST law also distinguishes between minor and major breaches. According to Section 126, a penalty should not be imposed for a minor breach of tax regulations or procedural requirements. A minor breach is defined as:

- An error where the tax amount involved is less than ₹5,000.
- An easily rectifiable omission or mistake in documentation made without fraudulent intent or gross negligence.

APPEAL & REVISION

An appeal is a legal request to a higher authority to reverse or modify a decision made by a lower adjudicating authority under the GST law. Revision, on the other hand, is a power granted to a senior authority to review an order passed by a subordinate officer that is deemed erroneous and prejudicial to the interests of the revenue.

The GST law outlines a clear hierarchy for appeals and a separate process for revisions, governed primarily by Sections 107 and 108 of the Central Goods and Services Tax (CGST) Act, 2017.

Appeals under GST

The appeal process under GST allows both taxpayers and the tax department to challenge an order in a multi-level structure.

Hierarchy of appeals

- **First Appeal (to the Appellate Authority):** A person aggrieved by an order passed by an adjudicating authority can file an appeal with the First Appellate Authority (Commissioner of Appeals).
- **Second Appeal (to the Appellate Tribunal):** If dissatisfied with the Appellate Authority's order, an appeal can be filed with the Goods and Services Tax Appellate Tribunal (GSTAT). The GSTAT has both National Benches and State Benches.
- **Third Appeal (to the High Court):** Appeals from the Appellate Tribunal can be made to the High Court, but only on substantial questions of law.
- **Fourth Appeal (to the Supreme Court):** The final stage is an appeal to the Supreme Court, which can hear appeals directly from the National or Regional Benches of the GSTAT in certain cases, or against a High Court judgment.

Key rules for filing a first appeal

- **Time limit:** A taxpayer must file the appeal within three months from the date of communication of the order. The Appellate Authority can condone a delay of up to one additional month if a "sufficient cause" is shown.
- **Pre-deposit:** For a taxpayer to file an appeal, a mandatory pre-deposit must be paid:
    - The full amount of admitted tax, interest, fine, fee, and penalty.
    - A sum equal to 10% of the disputed tax amount, subject to a maximum of twenty-five crore rupees.
    - This amount must be paid out of the electronic cash ledger.
- **Outcome of the appeal:** The Appellate Authority can confirm, modify, or annul the decision of the adjudicating authority. However, it cannot refer the case back (remand) to the original authority.

Revision under GST

Revision is the process where a senior tax authority reviews an order passed by a subordinate officer. It is a tool for the revenue department to rectify legally and factually incorrect orders that are detrimental to government revenue.

Revisional authority

- The Commissioner acts as the Revisional Authority, with the power to call for and examine the records of any proceedings.

Conditions for revision

The Revisional Authority can revise an order under Section 108 if it is satisfied that the order passed by a subordinate officer is:

- Erroneous and prejudicial to the interest of the revenue.
- Illegal or improper.
- Passed without taking into account certain material facts.
- Consequent to an observation by the Comptroller and Auditor General (CAG) of India.

Restrictions on revision

The Revisional Authority cannot initiate revision proceedings in the following circumstances:

- If the order has already been appealed under other sections of the GST Act.
- If the time limit for filing an appeal under Section 107 has not yet expired.
- If more than three years have passed since the original order was issued.
- If the order has already been subject to revision at an earlier stage.

Key differences between appeal and revision

Aspect	Appeal	Revision
Initiator	Taxpayer (aggrieved person) or the tax department.	Commissioner of GST (Revisional Authority).
Purpose	To challenge an order passed by a lower authority.	To review a subordinate's order that is erroneous and prejudicial to revenue.
Trigger	Dissatisfaction with a decision or order.	A review initiated by the Commissioner or based on information or a CAG observation.
Higher forum	A tiered system, beginning with the First Appellate Authority and going up to the Supreme Court.	After a revision, the revised order can be challenged before the Appellate Tribunal or higher courts.

ADVANCE RULINGS & MISC. PROVISIONS

Advance rulings under GST

An advance ruling is a decision provided by the Authority for Advance Ruling (AAR) or the Appellate Authority for Advance Ruling (AAAR) to an applicant on matters related to the supply of goods and/or services. This mechanism provides certainty regarding tax liability and helps in reducing litigation.

Objectives of advance rulings

- Provide certainty in tax liability in advance for proposed or current business activities.

- Attract Foreign Direct Investment by ensuring a clear and transparent tax system.
- Prevent long and expensive tax disputes and reduce litigation.
- Offer an expeditious, transparent, and inexpensive way to get tax clarifications.

Matters for which advance ruling can be sought

Applicants can seek advance rulings on matters such as the classification of goods or services, the applicability of notifications, determining time and value of supply, admissibility of Input Tax Credit (ITC), determining tax liability, GST registration requirements, and whether an activity constitutes a supply.

Authorities for advance ruling

- The **Authority for Advance Ruling (AAR)** is constituted under State or Union Territory GST Acts and also serves as the AAR under the CGST Act.
- The **Appellate Authority for Advance Ruling (AAAR)** hears appeals against AAR orders.

Applicability of advance rulings

Advance rulings are binding on the applicant and the concerned jurisdictional officer. They do not apply to other taxpayers and remain binding unless there's a change in the relevant law, facts, or circumstances.

Procedure for obtaining an advance ruling

The process involves filing an application in **FORM GST ARA-01** with the required fee. The AAR examines the application, may hear the applicant, and can admit or reject it. If admitted, a ruling is typically pronounced within 90 days. If AAR members disagree, the matter is referred to the AAAR.

Appeal and rectification

Appeals against AAR rulings can be made to the AAAR within 30 days. If AAAR members differ, no ruling is considered to have been issued. Rulings can be rectified for mistakes apparent on record within six months.

Miscellaneous provisions under GST

These provisions cover administrative and procedural aspects of the GST law.

Key provisions

- **Anti-profiteering:** Benefits from tax rate reductions or increased ITC must be passed on to recipients.
- **Burden of proof:** Taxpayers claiming ITC are responsible for proving its correctness.
- **Compliance rating:** Registered persons are assigned a public compliance rating.
- **Powers:** The government can collect statistics, officers can draw samples, and the Board can issue instructions for uniform implementation.
- **Removal of difficulties:** The Central Government can issue orders to address difficulties in implementing the Act, subject to GST Council recommendations.

- **Rectification of mistakes:** Orders or notices can be rectified for apparent errors within six months.
- **Service of notice:** Various methods are specified, including electronic communication.
- **Rounding off:** Tax amounts are rounded off to the nearest rupee.
- **Bar of civil courts' jurisdiction:** Civil courts generally cannot handle matters covered by the GST Act, except for appeals to higher courts.

CUSTOMS: LEVY AND EXEMPTION OF DUTY

This note explains the customs levy and exemption of duty in India, based on the **Customs Act, 1962**, and the **Customs Tariff Act, 1975**. Customs duties are taxes imposed on goods that cross international borders and are administered by the Central Board of Indirect Taxes and Customs (CBIC).

Customs levy: The basis for charging duty

The levy of customs duty is governed by Section 12 of the Customs Act, 1962, which mandates duty on all goods imported into or exported from India.

Types of customs duties on imports

- **Basic Customs Duty (BCD):** The standard duty levied on imported goods. Its rate is specified in the First Schedule of the Customs Tariff Act, 1975, and varies based on the Harmonized System of Nomenclature (HSN) code of the product.
- **Integrated Goods and Services Tax (IGST):** Imported goods are treated as inter-state supply under the GST regime. IGST is levied on the total value of the imported goods (assessable value + BCD + any other duties) at a rate corresponding to the domestic GST rate.
- **Social Welfare Surcharge (SWS):** A levy on imports, typically calculated at 10% of the aggregate customs duties (excluding IGST). Its revenue supports government social welfare programs.
- **Anti-Dumping Duty (ADD):** Imposed on imported goods sold at a price lower than their fair market value to protect domestic industry from unfair competition.
- **Safeguard Duty:** A temporary duty imposed to protect domestic industries from a sudden surge of imports that threatens to cause serious injury.
- **GST Compensation Cess:** An additional tax levied on certain luxury and sin goods, such as tobacco and automobiles, to compensate states for revenue loss due to GST implementation.

How duty is calculated

Customs duty is typically calculated on an "ad valorem" basis, which means as a percentage of the assessable value of the goods.

- **Assessable value:** This is the base value for calculating duty. For imported goods, it includes the cost of the goods, freight charges, and insurance costs (CIF value).

- **Rate determination:** The rate of duty is the one in force on the date a bill of entry for imported goods is presented to the customs authorities.

Exemption of duty

The government can grant exemptions from customs duty to achieve specific economic, social, or policy objectives.

Power to grant exemptions

- **Central Government:** Under Section 25 of the Customs Act, the Central Government has the power to exempt goods from all or part of the customs duty by issuing an official notification in the public interest.
- **General vs. special exemptions:** General exemptions are granted via notifications for specified goods and can be either unconditional or subject to certain conditions. Special exemptions can be granted by specific orders on a case-by-case basis under exceptional circumstances.

Common types of exemptions

- **Public welfare:** Exemption for essential goods such as life-saving drugs, medical equipment, and goods imported by charitable organizations.
- **Scientific and research purposes:** Specified instruments imported by recognized institutions for non-commercial research may be exempt.
- **Export promotion schemes:** Various schemes exempt exporters from customs duty on imported inputs and raw materials used for manufacturing export products.
    - **Advance Authorisation Scheme:** Allows duty-free import of inputs that are to be used in the manufacture of products for export.
    - **Duty-Free Import Authorisation (DFIA):** Allows for the duty-free import of inputs after the export of the products is completed.
- **Personal and temporary imports:**
    - **Baggage rules:** Personal belongings of individuals traveling or relocating may be exempt up to certain limits.
    - **Temporary imports:** Goods imported for a temporary purpose, such as exhibitions, can receive duty relief, often with a bond or guarantee.
- **Damaged or lost goods:** Remission or abatement of duty may be granted on imported goods that are lost, destroyed, or damaged before clearance.

TYPES OF CUSTOMS DUTY

Types of customs duty

Customs duty is a tax levied on goods transported across international borders and is categorized based on its calculation method and purpose.

Based on calculation method

- **Ad valorem duty:** Calculated as a percentage of the imported goods' value. It is the most common type and is considered fair because the tax amount is proportional to the item's worth.
- **Specific duty:** A fixed charge levied per unit of quantity, such as weight, volume, or number, regardless of the goods' value. This is simpler to administer but can disproportionately affect lower-priced commodities.
- **Compound duty:** A combination of both ad valorem and specific duties. It levies a fixed amount per unit plus a percentage of the item's value.

Based on purpose and application

- **Basic Customs Duty (BCD):** The standard duty levied on most imported goods. The rate varies based on the product's nature, country of origin, and the Harmonised System of Nomenclature (HSN) code.
- **Integrated Goods and Services Tax (IGST):** A duty applied to imports under India's Goods and Services Tax (GST) system. The rate matches the domestic GST rate for similar goods.
- **Anti-Dumping Duty (ADD):** Imposed when a foreign country exports goods at a price lower than their fair market value ("dumping"). This duty protects domestic industries from unfair price undercutting.
- **Countervailing Duty (CVD):** Levied on imported goods that have received government subsidies in their country of origin. This duty neutralizes the price advantage of subsidized goods and ensures fair competition for domestic manufacturers.
- **Safeguard Duty:** A temporary measure used to protect a domestic industry from serious injury or the threat of it, caused by a sudden surge in the quantity of imports.
- **Social Welfare Surcharge (SWS):** A surcharge calculated at a percentage of the aggregate customs duties. The revenue generated is used to fund social welfare programs.
- **National Calamity Contingent Duty (NCCD):** A duty levied on specific goods, like tobacco products, to raise funds for disaster relief and other emergencies.
- **Protective Duty:** Imposed to shield a specific domestic industry from foreign competition. The rate is typically determined by a tariff commission.
- **GST Compensation Cess:** An additional cess levied on certain imported luxury items and "sin goods" (like tobacco and aerated drinks) to compensate Indian states for potential revenue losses under the GST system.

Note: The specific customs duties and their rates can be revised periodically by the relevant government authorities.

CLASSIFICATION

Classification of customs duty is primarily categorized based on the purpose of the duty, the type of goods involved, and the method of calculation. Customs duty is a tax on goods transported across international borders, levied by governments to regulate trade, generate revenue, and protect domestic industries.

Classification by purpose

Revenue duties

- Basic Customs Duty (BCD): This is the main charge on imported goods and a primary source of government revenue. Rates, which vary depending on the product's Harmonized System of Nomenclature (HSN) code and country of origin, are specified in the Customs Tariff Act, 1975.
- Social Welfare Surcharge (SWS): A surcharge typically levied at 10% on the aggregate of customs duties. The revenue collected is used to fund social welfare programs.
- National Calamity Contingent Duty (NCCD): A duty imposed on certain goods like tobacco and pan masala to generate funds for handling national disasters or emergencies.

Regulatory duties

- Protective Duties: Imposed to protect a domestic industry from unfair competition by making imported goods more expensive. These are typically based on recommendations from the Tariff Commission.
- Safeguard Duty: A temporary measure to protect a domestic industry from a sudden surge of imports that causes or threatens serious injury.
- Anti-Dumping Duty (ADD): Levied on imported goods sold at a price lower than their "normal value" in the domestic market of the exporting country, a practice known as "dumping." This prevents unfair trade practices.
- Countervailing Duty (CVD): Imposed to neutralize the effect of subsidies provided by a foreign government to its exporters, ensuring a level playing field for domestic producers.

Post-GST duties (India)

Since the implementation of the Goods and Services Tax (GST) in India, several other duties are now included in the customs tax structure for imports.

- Integrated Goods and Services Tax (IGST): Applied on imports to match the domestic GST rate on similar goods, based on the HSN code.
- GST Compensation Cess: An additional cess levied on specific luxury and "sin" goods (e.g., tobacco and aerated drinks) to compensate states for revenue loss under the GST regime.

Classification by calculation method

Ad Valorem duty

This is the most common method, where duty is calculated as a percentage of the assessable value of the imported goods.

- Assessable Value: Determined using the Cost, Insurance, and Freight (CIF) value, plus any landing charges.

- Formula: The customs duties are added sequentially to arrive at the total payable amount. For example, the Social Welfare Surcharge is calculated on the Basic Customs Duty, and the IGST is calculated on the total of the Assessable Value, BCD, and SWS.

Specific duty

This is a fixed charge based on the physical quantity of the imported goods, such as weight, volume, or number of units, regardless of their value.

Compound duty

This calculation method combines both ad valorem and specific duty rates. It is applied when the final duty charge is based on both the value and the quantity of the goods.

Classification by direction of trade

- Import Duties: Levied on goods entering the country.
- Export Duties: Levied on certain goods leaving the country, often to regulate trade or conserve resources.

How goods are classified

For the purpose of calculating duties, goods are classified using the international Harmonized System of Nomenclature (HSN) code. In India, this is governed by the Customs Tariff Act, 1975, which contains two schedules:

- First Schedule: Lists goods liable for import duty.
- Second Schedule: Lists goods liable for export duty.

For more complex items, the General Interpretative Rules (GIRs) clarify how to classify goods within the system based on their characteristics and intended use.

VALUATION UNDER CUSTOMS

Customs duty valuation is the process of determining the value of imported goods to calculate the correct amount of customs duty. The primary method is the transaction value, which is the price paid or payable for the goods, including associated costs like packing and transportation, provided the buyer and seller are not related and the price is the sole consideration. If the transaction value cannot be used, the value is determined using a series of alternative methods in a prescribed hierarchical order, such as the value of identical or similar goods, deductive value, computed value, or a fallback method.

Valuation methods

- Transaction Value (Primary Method): The price actually paid or payable for the goods when sold for export, adjusted to include costs like commissions, packing, insurance, and freight, provided the buyer and seller are not related.
- Identical Goods Method: Used if the transaction value is not applicable. It compares the goods to be valued with identical goods imported at or about the same time and from the same commercial level.

- Similar Goods Method: Used if the identical goods method cannot be applied. It is similar to the identical goods method but compares the goods to similar goods, which are goods that have like characteristics and are composed of like materials.
- Deductive Value Method: Based on the resale price of the imported goods in the importing country, from which costs incurred in the importing country are deducted.
- Computed Value Method: Based on the cost of production in the country of origin, including materials, fabrication, and profit.
- Fallback Method: A final method to be used if none of the other methods apply, offering more flexibility but requiring a reasonable value to be determined on the basis of previous methods with some modifications.

Key considerations

- Hierarchical order: The alternative methods are to be used in a specific order. If the transaction value method doesn't work, the next method in the hierarchy is considered, and so on.
- Related parties: The transaction value method is only applicable when the buyer and seller are not related. If they are, one of the other methods must be used.
- Customs Valuation Rules: These rules, like the Customs Valuation (Determination of Value of Imported Goods) Rules, 2007, provide the specific guidelines and procedures for each valuation method.
- Tariff value: For certain goods, the government can fix a specific "tariff value." In such cases, the ad valorem duties are calculated based on this tariff value, not the transaction value.
- Basis for duty: The customs value is the basis for calculating customs duties and other taxes, such as import duty, excise duty, and anti-dumping duty.
- Fair trade: The system is designed to ensure fair and uniform valuation to prevent arbitrary or fictitious values and to ensure a level playing field in international trade.

IMPORT AND EXPORT PROVISIONS

Import and export provisions under customs duty are governed by the Customs Act, 1962, and the Customs Tariff Act, 1975, in India. These laws lay down the procedures, duties, and regulations for goods moving across international borders, with the primary goals of regulating trade, generating revenue, and protecting domestic industries.

Key provisions for import and export

Import provisions

- **Levy of customs duty:** Section 12 of the Customs Act is the charging section that empowers the central government to impose customs duty on imported goods.

- **Importer Exporter Code (IEC):** All entities involved in commercial import and export activities must obtain a mandatory 10-digit IEC from the Directorate General of Foreign Trade (DGFT).
- **Import manifest:** The person in charge of a conveyance (vessel, aircraft, or vehicle) carrying imported goods must deliver an import manifest or import report to the customs officer upon arrival.
- **Bill of entry:** The importer must file a Bill of Entry with the customs authorities to declare the goods for home consumption or warehousing. This can be filed before the goods arrive for faster clearance.
- **Valuation:** The value of imported goods is determined under Section 14 of the Customs Act based on the transaction value or the Cost, Insurance, and Freight (CIF) value. The duty is calculated as a percentage of this value.
- **Assessment and payment:** After the Bill of Entry is assessed, the importer pays the calculated customs duty. Integrated digital platforms like the Indian Customs Electronic Gateway (ICEGATE) facilitate online payment.
- **Types of import duties:** The total duty on imports can include several components:
    - **Basic Customs Duty (BCD):** A standard duty levied on most imported goods.
    - **Integrated Goods and Services Tax (IGST):** Levied on imports and replaces older duties like Countervailing Duty (CVD) and Special Additional Duty (SAD) under the GST regime.
    - **Social Welfare Surcharge (SWS):** Calculated at 10% of the total customs duties (excluding IGST).
    - **Anti-Dumping Duty (ADD) and Safeguard Duty:** Special duties imposed to protect domestic industries from unfair pricing or sudden surges in imports.
- **Prohibited and restricted imports:** The government can prohibit or restrict imports for reasons such as national security, public health, or environmental protection.
- **Baggage rules:** Separate provisions under Sections 77 and 79 apply to goods imported by passengers as baggage, with certain allowances and exemptions for personal use.

Export provisions

- **Shipping bill:** The exporter must file a Shipping Bill to declare goods for export. The document is submitted to the customs authorities for verification.
- **Free exports:** Most goods can be exported freely, but the government can regulate exports of certain items for specific reasons like conserving scarce resources.
- **Export manifest:** The person in charge of the conveyance must deliver an export manifest or report before the vehicle departs.
- **Let Export Order (LEO):** After customs officers have verified the goods and approved the shipping bill, they issue a Let Export Order, which permits the loading of goods for export.

- **Realization of export proceeds:** The exporter is required to realize the payment for exports, generally in a freely convertible currency, within a stipulated time frame as specified by the Reserve Bank of India (RBI).
- **Export duties:** Unlike import duties, export duties are levied on only a few select items, often to control the export of a specific commodity. Duties can be based on value (ad valorem) or quantity (specific).
- **Export incentives:** Exporters can avail of various incentives and schemes, such as the Duty Drawback scheme, to claim refunds on duties paid on inputs used for manufacturing exported goods.
- **Re-export of goods:** Specific procedures and conditions are in place for the re-export of imported goods that are found to be defective or unfit for use.

Consequences of non-compliance

Non-compliance with customs provisions can lead to significant penalties for importers and exporters:

- **Confiscation:** Customs authorities can confiscate improperly imported or exported goods.
- **Penalties:** Monetary fines may be imposed for violations like undervaluation, misdeclaration, or smuggling.
- **Prosecution:** Serious offenses, such as fraudulent evasion of duty, can result in criminal prosecution and imprisonment.

Importance of customs provisions

The customs framework ensures a balance between trade facilitation and regulatory control. It provides predictability and a level playing field for businesses while protecting national interests and preventing illegal activities. To navigate this complex system effectively, businesses and individuals are advised to stay updated on the latest amendments and to consult legal or customs experts.

WAREHOUSING

Customs warehousing is a facility allowing imported goods to be stored in a customs-approved warehouse without immediate payment of duty, which is deferred until the goods are cleared. The basic period for warehousing is one year, with an option for a one-year extension, and goods can be cleared incrementally as duties are paid. The process requires filing a bill of entry, executing a bond, and the goods remain under customs control and supervision.

Key aspects of customs warehousing

- **Duty deferral**: Import duties and taxes are not paid upfront. They become due only when the goods are cleared for domestic consumption.
- **Warehousing period**: The maximum period is typically one year, starting from the date of the warehousing order.

- This period can be extended by one year in many cases.
- A 90-day interest-free period is available within the warehousing year.
- Interest at a specified rate is charged on the delayed payment after the 90-day period.
- Exceptions to the one-year limit exist for certain approved operations, such as in EOUs, EHTPs, and STPs.

- **Types of warehouses**:
    - **Public**: Warehouses open to any importer.
    - **Private**: Warehouses for the exclusive use of the license holder.
    - **Special**: Warehouses for specific notified goods like precious metals or duty-free items, which are under the direct control of customs.
- **Bonding**: A warehousing bond must be executed, which is a guarantee against the potential duty payable.
- **Customs control**: The Customs Department has complete control over the warehouse and goods stored inside. They have the power to lock the warehouse and examine any goods at any time.
- **Operations**: Owners are permitted to carry out certain operations like inspecting, sorting, and demonstrating goods.
- **Permission for manufacturing**: With prior permission, owners can also perform manufacturing or other operations within the warehouse.
- **Clearance**: Goods can be cleared for home consumption by filing an ex-bond bill of entry and paying the applicable duty.
- **Transfer and re-export**: Goods can be transferred to another warehouse or re-exported, in which case no customs duty is payable.

DUTY DRAWBACK

A customs duty drawback is a refund of customs duties and other taxes paid on imported goods that are subsequently exported or used to manufacture products for export. The scheme is intended to provide a level playing field for exporters, ensuring their products are not burdened by domestic taxes when competing in the international market.

Types of customs duty drawback

The duty drawback scheme in India is covered by Sections 74 and 75 of the Customs Act, 1962, and primarily involves three types of claims:

- **Drawback on re-export of imported goods (Section 74):** This allows for a refund of customs duty on goods that were imported and subsequently re-exported.
    - **Rate:** A refund of up to 98% of the duty is admissible if the goods are re-exported without being used.

    - **Reduced rate:** If the goods have been used before re-export, a depreciated, lower percentage is refunded based on the period of use.

- **Drawback on manufactured goods (Section 75):** This is for goods manufactured or processed in India using imported components or raw materials. The customs duty paid on the imported inputs is refunded upon the export of the finished product. There are two main ways to get this refund:
    - **All Industry Rate (AIR):** A standard, fixed percentage of the Free on Board (FOB) export value is notified by the government for a wide range of products. It is based on the average incidence of duties across the industry.
    - **Brand Rate:** If no AIR is available or if the exporter believes the AIR compensates less than 80% of the actual duties suffered, they can apply for a custom rate based on their actual input consumption.
- **Special Brand Rate:** A specific brand rate granted in special cases where the manufacturing or inputs used differ significantly from normal industry processes.

How to claim a duty drawback

The procedure for claiming a duty drawback is largely automated through the Customs' Electronic Data Interchange (EDI) system.

1. **File the shipping bill:** The exporter files an electronic shipping bill, declaring their intent to claim a drawback.
2. **Customs verification:** After the export goods have been physically examined and shipped, the customs authority processes the claim based on the information provided in the shipping bill.
3. **Direct credit:** If the claim is approved, the drawback amount is automatically credited to the exporter's bank account.

Post-GST adjustments

With the implementation of the Goods and Services Tax (GST) in India in July 2017, the drawback scheme was modified.

- **Limitation:** The drawback benefit is now restricted primarily to the Basic Customs Duty (BCD) paid on imported inputs.
- **Dual benefit restriction:** An exporter cannot claim both the customs component of the drawback and a refund of the Integrated GST (IGST) paid on the same inputs to prevent claiming a double benefit.

Benefits of the scheme

- **Enhances competitiveness:** By neutralizing the tax burden on imported inputs, the scheme allows exporters to offer competitive prices in the international market.
- **Improves cash flow:** Timely refunds of duties increase the working capital available to exporters.

- **Aligns with global standards:** The scheme supports the principle of "zero-rating" of exports, which is a key tenet of international trade.

DEMAND & RECOVERY

Under the Indian Customs Act, 1962, the demand and recovery of customs duty apply when an importer or exporter has not paid, has short-paid, or has erroneously been refunded duty. The process involves the issue of a Show Cause Notice (SCN), adjudication, and, if necessary, enforcement through various recovery methods.

Demand for customs duty

The process for demanding unpaid duty begins when a "proper officer" of the customs department discovers a discrepancy. This can happen due to reasons such as misclassification of goods, non-inclusion of valuation components, or availing an exemption without meeting the conditions.

Show Cause Notice (SCN)

- An SCN is issued to the party liable for the duty, requiring them to explain why the specified amount should not be recovered.
- The time limit for issuing an SCN depends on the nature of the non-payment:
  - **Normal period (two years):** Applicable in "bona fide" cases where the short-payment was due to a genuine error, without any deliberate attempt to evade duty.
  - **Extended period (five years):** Invoked in "mala fide" cases involving collusion, wilful misstatement, or suppression of facts with the intent to evade duty.
- **Voluntary compliance:** If a person pays the amount due along with interest before an SCN is served, no notice is issued.
- **Response and adjudication:** The recipient of the SCN is given an opportunity to reply and have a personal hearing. The adjudicating authority then issues an appealable order, either confirming the demand or dropping the proceedings.

Recovery of customs duty

Once a demand is confirmed through an adjudication order, the customs department has legal provisions to enforce and recover the arrears.

Legal provisions for recovery

- **Section 28 of the Customs Act, 1962:** Governs the process of issuing a demand notice for duty that was not levied, was short-levied, or was erroneously refunded.
- **Section 142 of the Customs Act, 1962:** Empowers the department to take coercive action to recover dues if the amount is not paid voluntarily after the demand has been confirmed.

Methods of recovery (under Section 142)

- **Adjustment against dues:** The proper officer can deduct the outstanding amount from any money the department owes to the defaulter.

- **Detention and sale of goods:** The department can detain and sell any goods belonging to the defaulter that are under its control.
- **Recovery as arrears of land revenue:** If the amount cannot be recovered by the above methods, the Collector of the District can be asked to recover the amount as if it were an arrear of land revenue.
- **Attachment and sale of property:** Customs authorities have powers to attach, detain, and sell any movable or immovable property belonging to or under the control of the defaulter.

Consequences for non-payment

- **Interest:** In addition to the short-paid duty, the importer or exporter is liable to pay interest from the date the duty became payable.
- **Penalties:** Penalties can be imposed, with the amount depending on whether the non-payment was intentional.
- **Time-barred demands:** If a demand notice is not served within the time limit prescribed under Section 28, the demand becomes time-barred and cannot be recovered.

REFUND UNDER CUSTOMS

A customs duty refund allows importers and exporters to reclaim duties paid in excess or in error, or to obtain a drawback for duties on inputs used in exported goods. This process is governed primarily by the Customs Act, 1962, and its associated rules and notifications.

Legal framework

Section 27 of the Customs Act, 1962, outlines the process for claiming a refund of excess duty and interest by the person who paid the duty or bore its burden. A refund application under Section 27 must be filed within one year from the date the duty was paid with the jurisdictional Deputy/Assistant Commissioner of Customs. Specific scenarios, such as duty exemptions by ad hoc order or refunds resulting from court or tribunal orders, have different time calculations. The one-year limit does not apply if the duty was paid under protest.

Types of refunds

- **Drawback schemes (Sections 74 and 75):** This involves the refund of duties paid on imported materials subsequently exported, aimed at preventing export taxation.
    - **Re-export of imported goods (Section 74):** Up to 98% of customs duty can be refunded if imported goods are re-exported within two years.
    - **Export of manufactured goods (Section 75):** Applies to imported materials used in exported manufactured goods, with refund rates either as an All-Industry Rate (AIR) or a special Brand Rate.
- **Refund of excess or erroneous duty (Section 27):** Includes cases of excess payment due to errors, duty paid on goods not actually imported, and refunds on defective or damaged imported goods (Section 26A).

- **Refund under specific schemes:** Provisions exist for refunds under protest and provisional assessment.

The principle of unjust enrichment

Applicants must prove they have not passed the duty burden to a buyer to receive a refund; otherwise, the amount is credited to the Consumer Welfare Fund. Exceptions include duty drawback and duty paid by individuals for personal use.

The refund process (via ICEGATE)

1. **File application:** Submit the request electronically through the ICEGATE portal.
2. **Scrutiny and acknowledgement:** The application is reviewed, and deficiencies must be rectified for an acknowledgement to be issued.
3. **Processing and order:** A refund order (sanction, rejection, or partial sanction) is issued after review.
4. **Electronic credit:** Approved refunds are credited electronically to the applicant's bank account.

Interest on delayed refunds

Interest at 6% per annum is payable if a refund is not issued within three months of receiving a complete application.

PROHIBITED IMPORTS, SEARCH, SEIZURES & ARREST

Prohibited imports under Customs

The Central Government of India, through Section 11 of the Customs Act, 1962, can prohibit or restrict the import and export of goods for various public interest reasons. This power is exercised by issuing notifications in the Official Gazette, which can impose either an absolute or conditional prohibition.

The main reasons for prohibiting or restricting imports include:

- Maintaining national security and public order.
- Preventing smuggling and the evasion of customs duties.
- Protecting domestic industries from serious injury caused by uncontrolled imports.
- Protecting human, animal, or plant life or health.
- Protecting patents, trademarks, and copyrights by preventing the import of counterfeit or infringing goods.
- Conserving foreign exchange and safeguarding the balance of payments.

What constitutes "prohibited goods"?

Prohibited goods are defined as any goods whose import or export is banned under the Customs Act or any other existing law. Examples include:

- Counterfeit goods and currency.

- Illegal drugs and narcotics.
- Endangered species and products derived from them (e.g., ivory).
- Obscene or indecent materials.
- Maps depicting incorrect Indian external boundaries.
- Certain items regulated under other laws, such as firearms, ammunition, and hazardous substances.

Power to search, seize, and arrest under Customs

To enforce import and export controls and prevent smuggling, customs officers are given extensive powers to search, seize, and arrest under the Customs Act, 1962.

Search

Customs officers have the authority to search persons, premises, and conveyances if they have reason to believe that contraband goods or relevant documents are secreted there.

- **Search of persons:** An officer can search a person who has recently arrived from or is about to leave India if there is "reason to believe" they have concealed goods liable for confiscation. The search of a female must be conducted by another female. A suspect also has the right to be taken before a gazetted customs officer or a magistrate for the search.
- **Search of premises:** An Assistant or Deputy Commissioner of Customs can authorize a search of any place where goods or documents relevant to any customs proceeding are suspected to be secreted. The search must be conducted in accordance with the provisions of the Code of Criminal Procedure, with certain modifications.
- **Search of conveyances:** A proper officer can stop and search any vessel, aircraft, vehicle, or animal being used for smuggling. The officer can rummage and search the conveyance and break open any locks if keys are withheld.

Seizure

Customs officers can seize goods or documents if they have reason to believe the goods are liable for confiscation. If physical seizure isn't possible, an officer may issue a notice prohibiting the owner from moving or dealing with the goods. Seized goods must be returned if no show-cause notice is issued within six months, though this period can be extended by the Commissioner. Perishable or hazardous goods can be disposed of promptly after seizure.

Arrest

An officer, not below the rank of Superintendent, can arrest individuals suspected of offenses like smuggling or duty evasion. The arrested person must be informed of the grounds and brought before a magistrate without delay. Customs officers generally have powers similar to police officers for granting bail, though serious offenses, such as significant duty evasion on prohibited goods, can be non-bailable.

CONFISCATION & PENALTIES *34.1*

Chapter 35

OFFENCES & PROSECUTION

Offences under the Customs Act, 1962, are criminal violations of import/export regulations, ranging from false declarations and evasion of duty to smuggling, which can lead to penalties like fines, confiscation of goods, and imprisonment. Prosecution for these offences, which requires evidence of intent (mens rea), can be initiated under various sections, such as sections 132-136, with specific threshold limits for monetary value defining when prosecution is triggered. Sensitive goods like narcotics, arms, and FICN are subject to immediate and absolute confiscation and can lead to arrest and prosecution regardless of value.

Types of Offences and Penalties

- **Evasion of Duty or Prohibitions:** Involves the fraudulent evasion or attempt to evade any duty chargeable or a prohibition on goods.
- **False Declarations or Documents:** Providing false declarations or documents to customs authorities is an offence.
- **Obstruction:** Obstructing customs officers in the performance of their duties is a prosecutable offence.
- **Offences by Officers:** The Act also includes offences for customs officers, such as corruptly conniving in fraudulent exports or making unlawful searches.
- **Penalties:** Penalties can include:
  - **Confiscation of goods:** The offending goods can be confiscated.
  - **Fines:** Heavy fines can be imposed.
  - **Imprisonment:** In serious cases, imprisonment can be a penalty, with the term extending up to seven years for a second or subsequent offence of a serious nature.

Prosecution Process

- **Triggering Prosecution:** Prosecution is initiated for offences covered by Sections 132, 133, 134, 135, 135A, or 136 of the Customs Act.
- **Threshold Limits:** The decision to prosecute is based on a careful consideration of the offence, the person's role, and evidence of guilty intent. Guidelines issued by the government specify threshold limits, such as a minimum value for duty evasion, to determine when prosecution is to be launched.
- **Arrest and Detention:**
  - Customs officers can arrest individuals involved in serious offences, as provided under Section 104 of the Act.
  - An arrested person must be informed of the grounds for their arrest and taken to the nearest magistrate without unnecessary delay.
- **Compounding of Offences:** In certain cases, the offences can be compounded, which is a settlement, usually involving a payment.

Important Considerations

- **Sensitive Goods:** Offences involving sensitive goods like narcotics, FICN, arms, ammunition, and explosives are treated with extreme severity. Arrest and prosecution can be considered irrespective of the value of the goods.
- **Mens Rea:** The prosecution requires proof of a guilty mind or knowledge on the part of the accused.
- **Guidelines:** The government has issued and revised guidelines for the exercise of arrest and prosecution powers to ensure they are used judiciously and with a focus on grave offences.

APPEALS & REVISION

Appeals under the Customs Act allow for the review of decisions by a higher authority, starting with an appeal to the Commissioner of Customs (Appeals) against orders from lower-ranking officers. Revision refers to the process where specific authorities, like the Commissioner or the Central Board of Indirect Taxes and Customs (CBIC), can examine the legality or propriety of orders passed by lower authorities, often to correct legal or procedural errors. The process involves filing an application in the prescribed form, paying a fee, and adhering to time limits, which can vary based on the specific authority and the case.

Appeals

- **Commissioner (Appeals):** An appeal can be filed against any decision or order passed by an officer of Customs lower in rank than a commissioner.
- **Appellate Tribunal (CESTAT):** An appeal can be filed against an order passed by the Commissioner of Customs (Appeals) or a Commissioner of Customs acting as an adjudicating authority.
- **High Court and Supreme Court:** These are the final avenues for appeal after the Appellate Tribunal.
- **Procedure:** Appeals must be filed within a specific time limit, typically within three months of the order being appealed against, using the prescribed form and paying the required fee.

Revision

- **Revision Authority:** In certain cases, like baggage, drawback, and short-landing, a Revision Authority can hear appeals against the order of the Commissioner or Commissioner (Appeals).
- **Central Board of Indirect Taxes and Customs (CBIC):** The CBIC can review an order passed by a Commissioner of Customs and direct the Commissioner to file an appeal to the Appellate Tribunal if the order is found to be illegal or improper.
- **Procedure:** Revision applications must be filed within a specific time limit and may be subject to a prescribed fee, although the department may not have to pay a fee for revision applications.

Key differences

Feature	Appeal	Revision
Authority	A higher authority reviews a lower authority's decision.	A higher authority reviews another higher authority's decision or an earlier decision.
Purpose	To challenge an order or decision.	To correct legal or procedural errors.
Process	A direct request to a higher court or tribunal.	A request to the same court or authority that made the decision to review and change it.

SETTLEMENT COMMISSION

The Settlement Commission, a quasi-judicial body for resolving customs disputes, has been abolished for new cases under the Customs Act, 1962, as of April 1, 2025. Interim Boards are being constituted to handle the pending cases transferred from the Settlement Commission.

Background and purpose

- **Establishment**: The Customs and Central Excise Settlement Commission was established to create an alternative dispute resolution mechanism. It enabled taxpayers to settle tax disputes through conciliation rather than prolonged and adversarial litigation.
- **Voluntary disclosure**: The mechanism was intended for taxpayers who wished to accept their liability and settle cases by making a full and true disclosure of non-compliance. It was not meant to be a permanent escape route for tax evaders.
- **Applicability**: It could be approached by importers, exporters, or any other person in respect of a case that was pending adjudication after a show-cause notice had been issued.

Conditions for application

- **Full disclosure**: The applicant had to make a full and true disclosure of their duty liability not previously disclosed, and the manner in which it was incurred.
- **Payment**: The applicant was required to pay the additional customs duty and interest accepted by them.
- **Duty threshold**: The additional duty accepted had to exceed a specified limit (e.g., ₹3 lakh).
- **Timing**: An application could be made before the case was adjudicated but not if it was already pending before the Appellate Tribunal or any court.
- **Excluded cases**: Certain cases were barred from settlement, such as those related to goods governed by Section 123 of the Customs Act (dealing with specific categories of smuggled goods) and cases related to narcotics.

Powers and process

The Settlement Commission's powers included:

- Ordering a provisional attachment of property to protect revenue interests during proceedings.
- Granting immunity from prosecution and penalties to applicants who cooperated fully and made true disclosures. However, this immunity could be withdrawn if the applicant failed to comply with the settlement terms or provided false evidence.
- Reopening completed proceedings if deemed necessary for the proper disposal of the case, provided the applicant concurred.
- Returning a case to the proper customs officer if the applicant failed to cooperate.
- Regulating its own procedures.

Abolition and replacement

- **Discontinuation**: The Central Government has discontinued the Customs and Central Excise Settlement Commission, with no new applications accepted after March 31, 2025.
- **Rationale**: The move was made partly because other mechanisms for dispute resolution, such as graded penalties and compounding of offenses, were seen as making the Commission redundant.
- **Interim boards**: For cases pending as of April 1, 2025, the government is constituting one or more Interim Boards to take over the powers and functions of the Settlement Commission. This is a transitional measure, not a permanent replacement.
- **Increased litigation**: The sunset of the Settlement Commission means a non-litigious route for dispute resolution is no longer available, which is expected to increase litigation before appellate forums like the Commissioner (Appeals) and CESTAT.

ADVANCE RULINGS

An advance ruling in customs is a written decision from the Customs Authority for Advance Rulings (CAAR) on specific questions about the customs treatment of goods before they are imported or exported. It is a key trade facilitation measure under the Customs Act, 1962, intended to provide certainty to importers and exporters and reduce litigation.

Matters for which an advance ruling can be sought

Applicants can seek advance rulings on the following issues related to their goods:

- **Classification of goods:** Confirming the appropriate tariff classification under the Customs Tariff Act, 1975.
- **Rate of duty:** Determining the applicability of notifications that affect the customs duty rate.
- **Valuation:** Deciding the principles to be used for customs valuation.
- **Origin of goods:** Verifying the country of origin, which is crucial for trade agreements.

- **Other matters:** Any additional matters the Central Government may specify by notification.

Key features of the advance ruling mechanism

- **Objective:** The system aims to provide certainty and transparency, attract foreign direct investment, and minimize disputes and litigation by clarifying tax liabilities in advance.
- **Authority:** The Customs Authority for Advance Rulings (CAAR), appointed by the Central Board of Indirect Taxes and Customs (CBIC), is the body responsible for issuing these rulings.
- **Binding nature:** The ruling is binding only on the specific applicant who sought it and on the customs authorities concerning that applicant. It is not a universally applicable precedent for other traders.
- **Validity:** A ruling is valid for a specified period (e.g., three years in some cases), unless there is a change in the law or the factual circumstances under which it was issued.
- **Situations for rejection:** An application for an advance ruling may be rejected if the same question is already pending or has been decided in the applicant's case before a customs officer, appellate tribunal, or court.
- **Rulings obtained by fraud:** A ruling can be declared void ab initio (from the beginning) if it is found to have been obtained by fraud, misrepresentation, or suppression of material facts.

Procedure for obtaining an advance ruling

The process for securing an advance ruling involves several steps, as governed by the Customs Authority for Advance Rulings Regulations, 2021:

1. **Application:** An applicant files an application in the prescribed Form CAAR-1 with the CAAR, accompanied by a fee of ₹10,000.
2. **Admission or rejection:** The CAAR examines the application. If it proposes to reject the application, it will first issue a notice and provide the applicant with an opportunity to be heard.
3. **Ruling:** If the application is admitted, the CAAR will hear the applicant and the concerned customs officer and then pronounce its ruling in writing. There is a general time limit of 90 days for issuing a ruling.
4. **Withdrawal:** An applicant can withdraw their application within two weeks of filing.
5. **Appeal:** If the applicant or the customs department is aggrieved by the ruling, they can appeal to the High Court.

Benefits for businesses

- **Reduces litigation:** By clarifying legal positions upfront, the mechanism helps in avoiding expensive and time-consuming disputes later.
- **Aids financial planning:** With a clear understanding of customs duties and procedures, businesses can more accurately forecast costs and manage cash flow.

- **Attracts investment:** The certainty provided by advance rulings attracts foreign direct investment (FDI) by giving investors confidence in their tax liabilities.
- **Increases efficiency:** It promotes faster clearance and reduces delays by resolving potential issues before importation or exportation.
- **Ensures compliance:** It helps businesses ensure they are complying with customs laws and can fully utilize available exemptions or incentives.

MISC. PROVISIONS

Chapter XVII of the Indian Customs Act, 1962, contains the "Miscellaneous" provisions, which cover a wide array of supplementary and procedural matters essential for the enforcement and administration of customs law. These provisions are crucial for handling situations not covered in the main body of the Act, granting necessary powers to officials, and ensuring the smooth functioning of the customs system.

Key provisions within the Miscellaneous Chapter

1. General powers of the Central Government and Board

- **Power to make rules and regulations:** The Central Government can make rules consistent with the Act to carry out its purposes. Similarly, the Central Board of Indirect Taxes and Customs (CBIC) can frame regulations on specific matters, such as the format of shipping bills or bills of entry.
- **Delegation of powers:** The government can delegate powers to customs officers by notification, allowing for efficient administration and distribution of duties.

2. Procedural matters

- **Recovery of government dues:** The Act provides mechanisms for recovering unpaid duties, interest, or penalties, such as deducting from money owed to the defaulter, selling their goods, or treating the amount as an arrear of land revenue.
- **Service of orders and notices:** Specifies how customs orders, decisions, summons, or notices are legally served.
- **Correction of clerical errors:** Allows for the correction of clerical or arithmetical mistakes in decisions or orders.
- **Rounding off:** Requires amounts of duty, interest, penalty, or refund to be rounded off to the nearest rupee.

3. Control and supervision

- **Control over goods and conveyances:** Goods and conveyances in a customs area are controlled by customs officers for enforcement purposes.
- **Taking samples:** Customs officers can take samples of goods for examination or testing.

4. Customs agents and representatives

- **Licensing of customs agents:** Requires a valid license to act as a customs agent.

- **Appearance by authorized representative:** Allows representation by an authorized person under certain conditions.
- **Liability of principal and agent:** States that actions by an agent are deemed with the owner's consent, making both liable, and the agent can be liable for unpaid duty.

5. Other important provisions

- **Protection of action taken in good faith:** Protects the government and officers from legal action for acts done in good faith.
- **Power to allow imports or exports on bond:** Allows goods clearance on bond if formalities cannot be completed beforehand.
- **Procedure for the sale of goods:** Outlines the process for selling non-confiscated goods and applying the proceeds.

FOREIGN TRADE POLICY

The Foreign Trade Policy (FTP) is a set of guidelines and incentives issued by the Indian government to regulate imports and promote exports, aiming to boost economic growth. It operates under the Ministry of Commerce and Industry, with the Directorate General of Foreign Trade (DGFT) as the governing body. The FTP provides the basic framework for international trade, including schemes like export incentives and import duty exemptions, and categorizes goods into 'free,' 'restricted,' or 'prohibited' based on the policy's rules.

Key aspects of the Foreign Trade Policy under customs:

- **Policy and regulation:** The policy is the fundamental framework for India's imports and exports, and it is periodically reviewed to adapt to global and domestic changes.
- **Governing body:** The Directorate General of Foreign Trade (DGFT) is responsible for its implementation, as an attached office of the Ministry of Commerce and Industry.
- **Goal:** The overarching goal is to make India a global trade hub by boosting exports, generating employment, and facilitating ease of doing business, while also ensuring domestic industry protection and economic stability.
- **Imports and exports:**
    - According to the latest policy, imports and exports are free unless specifically prohibited, restricted, or exclusively handled by state trading enterprises.
    - Goods are categorized as:
        - **Free:** Can be imported or exported without authorization.
        - **Restricted:** Require specific authorization to import or export.
        - **Prohibited:** Cannot be imported or exported, such as narcotics or dangerous goods.
- **Customs-related incentives and schemes:**

- **Duty exemptions:** The policy allows for exemptions from customs duties and taxes on goods used for export production under specific schemes like the Export Promotion Capital Goods (EPCG) Scheme.
- **Deemed exports:** The policy recognizes and provides benefits for "deemed exports," which are domestic supplies of goods that are treated as exports.
- **Amnesty schemes:** Provides relief and a way to address past compliance issues for exporters.
- **SEZs and EOU:** Special Economic Zones (SEZs) and Export-Oriented Units (EOUs) are granted exemptions from certain taxes and duties.

- **Modernization:** The Foreign Trade Policy 2023 emphasizes technology and automation, with a move towards a paperless, online-based system for approvals and other procedures.

BAGGAGE AND EXEMPTIONS

Baggage exemptions under customs law allow passengers to bring certain items duty-free, based on age, duration of stay, and the nature of the goods. These typically include used personal effects and, for those aged 10 and above, a specific monetary allowance for other articles (e.g., Rs. 25,000 after staying abroad for more than three days). There are also specific exemptions for items like a laptop (for those over 18), used household articles, and professional equipment, along with restrictions on prohibited items like firearms, specific quantities of alcohol, and commercial goods.

Duty-free allowances for "other articles"

- **For passengers aged 10 and above:**
  - **Stay > 3 days:** Duty-free allowance of up to Rs. 25,000.
  - **Stay ≤ 3 days:** Duty-free allowance of up to Rs. 12,000.
- **For passengers below 10 years:**
  - **Stay > 3 days:** Duty-free allowance of up to Rs. 6,000.
  - **Stay ≤ 3 days:** Duty-free allowance of up to Rs. 3,000.
- **Used personal effects:** All passengers can bring used personal effects (excluding jewellery) free of duty, regardless of age or length of stay.

Specific exemptions

- **Laptop:** One laptop computer is allowed duty-free for passengers 18 years and above.
- **Professional equipment:** Passengers returning after a certain period abroad may be allowed to import used household articles and professional equipment free of duty, with value limits dependent on the length of stay (e.g., Rs. 40,000 for professional equipment for a stay of at least 6 months).

- **Jewellery:** Passengers residing abroad for over a year can carry a specific weight of jewellery duty-free (e.g., 40 grams, up to Rs. 1 lakh, for a lady passenger).

Goods subject to duty or restrictions

- **Goods over allowance:** Items exceeding the free allowance are subject to duty, typically a basic customs duty of 35% plus an additional surcharge.
- **Specific items:** Firearms, cartridges, and goods imported for commercial purposes are often restricted or prohibited.
- **Liquor and tobacco:** There are specific limits on the quantities of alcoholic drinks and tobacco products that can be imported duty-free.

Important considerations

- **Declaration:** All passengers with dutiable goods must declare them to customs officials.
- **Channels:** Passengers can choose between the Green Channel (for those with no dutiable goods) or the Red Channel (for those with dutiable goods).
- **Unaccompanied baggage:** Rules can also apply to unaccompanied baggage, with specific timeframes for dispatch and arrival.